

OTC MARKETS GROUP INC.

A Delaware Corporation

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Federal EIN: 13-3941069

NAICS: 523210

SIC Code: 6289

Issuer's Quarterly Report

For the quarterly period ended September 30, 2020
(the "Reporting Period")

ISSUER'S EQUITY SECURITIES

COMMON STOCK

Class A Common Stock

\$0.01 Par Value Per Share

14,000,000 Shares Authorized

11,669,418 Shares Outstanding as of October 31, 2020

OTCQX: OTCM

OTC Markets Group Inc. is responsible for the content of this Quarterly Report. The securities described in this document are not registered with, and the information contained in this report has not been filed with, or approved by, the U.S. Securities and Exchange Commission.

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QUARTERLY REPORT

Cautionary Note Regarding Forward-Looking Statements

Information set forth in this Quarterly Report (the “Quarterly Report”) contains forward-looking statements, which involve a number of risks and uncertainties that could cause our actual results to differ materially from those reflected in the forward-looking statements. Forward-looking statements can be identified by use of the words “expect,” “project,” “may,” “might,” “potential,” and similar terms. OTC Markets Group Inc. (“OTC Markets Group,” “we” or the “Company”) cautions readers that any forward-looking information is not a guarantee of future performance and that actual results could differ materially from those contained in the forward-looking information. Forward-looking statements involve a number of risks, uncertainties or other factors beyond OTC Markets Group’s control. These factors include, but are not limited to, our ability to implement our strategic initiatives; economic, political and market conditions and price fluctuations; government and industry regulation; U.S. and global competition; the impact of the novel coronavirus (“COVID-19”) pandemic, including changes to trading behavior broadly in the market; and the risk factors discussed under the heading “Risk Factors” in our quarterly report for period ended March 31, 2020 and our Annual Report for the year ended December 31, 2019. We undertake no obligation to revise or publicly release the results of any revision to these forward-looking statements. Given these risks and uncertainties, readers are cautioned not to place undue reliance on such forward-looking statements. We undertake no obligation to update any forward-looking statement, whether as a result of new information, future events or otherwise.

Item 1. The exact name of the issuer and the address of its principal executive offices

The name of the issuer is OTC Markets Group Inc.

Company description

OTC Markets Group Inc. (OTCQX: OTCM) operates the OTCQX® Best Market, the OTCQB® Venture Market, and the Pink® Open Market for 11,000 U.S. and global securities. Through our two Securities and Exchange Commission (“SEC” or the “Commission”) registered alternative trading systems (“ATS”), OTC Link® ATS and OTC Link ECN, we connect a diverse network of Financial Industry Regulatory Authority (“FINRA”) member broker-dealers that provide liquidity and execution services. We enable investors to easily trade through the broker of their choice and empower companies to improve the quality of information available for investors.

The address of the issuer is: **300 Vesey Street, 12th Floor
New York, NY 10282**

The telephone and facsimile are: **Telephone: (212) 896-4400
Facsimile: (212) 868-3848**

The issuer's website:

OTC Markets Group's corporate website, www.otcmarkets.com, contains general information about us and our products and services. We also maintain www.otciq.com, www.otcdealer.com, www.garavan.com, www.virtualinvestorconferences.com and www.lifescienceinvestorforum.com. The information contained on such websites shall not be deemed incorporated by reference herein.

Investor relations contact:

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Item 2. Shares outstanding

The Company is authorized to issue 14,000,000 shares of Class A common stock of \$0.01 par value.

None of OTC Markets Group's common stock has been registered under the Securities Act of 1933, as amended (the "Securities Act"), and we have no current plans to register any of our securities. Certain shares of our common stock are currently eligible for resale in the public market pursuant to the exemption from registration offered by Rule 144 under the Securities Act ("Rule 144"). The remaining outstanding shares of our common stock are "restricted securities" within the meaning of Rule 144 and may be eligible for resale in the future.

The following table shows Class A common stock share ownership as of September 30, 2020:

	September 30, 2020
(i) Number of shares authorized	14,000,000
(ii) Number of shares outstanding	11,669,004
(iii) Number of shares freely tradable (public float) ⁽¹⁾⁽²⁾	7,312,784
(iv) Total number of holders of record	203

(1) The number of shares freely tradable may include shares held by shareholders owning 10% or more of our Class A common stock. These shareholders may be considered "affiliates" within the meaning of Rule 144, and their shares may be "control shares" subject to the volume and manner of sale restrictions under Rule 144.

(2) Our officers and directors hold approximately 4.3 million shares of our Class A common stock, which may be "control shares" subject to the volume and manner of sale restrictions under Rule 144. These shares are excluded from the number of shares freely tradable.

As of September 30, 2020, there are 1,781 non-objecting beneficial shareholders owning at least 100 shares of the Company's Class A common stock.

Our Class A common stock trades on the OTCQX market under the symbol OTCM (CUSIP Number: 67106F108).

Dividends

The declaration of dividends by OTC Markets Group is subject to the discretion of our Board of Directors. Our Board of Directors will consider such matters as general business conditions, our financial results, capital requirements, contractual, legal and regulatory restrictions on the payment of dividends and such other factors as our Board of Directors may deem relevant.

During the nine months ended September 30, 2020, our Board of Directors authorized and approved the following cash dividends:

Declaration Date	Dividend Per Common Share	Record Date	Total Amount (in thousands)	Payment Date
March 04, 2020	\$ 0.15	March 17, 2020	\$ 1,748	March 28, 2020
May 05, 2020	0.15	June 11, 2020	1,749	June 25, 2020
August 12, 2020	0.15	September 11, 2020	1,750	September 25, 2020

On November 9, 2020, the Board of Directors authorized and approved a special cash dividend of \$0.65 per share of Class A Common Stock and a quarterly cash dividend of \$0.15 per share of Class A common stock. The special dividend is payable on December 9, 2020 to our stockholders of record on November 25, 2020. The ex-dividend date is November 24, 2020. The quarterly dividend is payable on December 23, 2020 to our stockholders of record on December 9, 2020. The ex-dividend date is December 8, 2020.

Stock Buyback Program

On March 4, 2020, the Board of Directors refreshed the Company's stock repurchase program, giving the Company authorization to repurchase up to 300,000 shares of the Company's Class A common stock. The Company is authorized to purchase shares from time to time on the open market and through block trades, in accordance with the safe harbor provision of Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act").

The following table shows purchases made by the Company of the Company's Class A common stock during the nine months ended September 30, 2020.

Date	Number of Shares Purchased	Average Price Paid Per Share	Number of Shares Purchased as Part of Announced Repurchase Plan	Number of Shares Remaining To Be Purchased Under Announced Plan
Feb 2020	102,732	\$34.20	102,732	197,268
Mar 2020	206	\$32.98	206	197,062
Mar 2020				300,000

Item 3. Unaudited interim condensed consolidated financial statements

Copies of the unaudited interim condensed consolidated financial statements of OTC Markets Group for the three and nine months ended September 30, 2020 and September 30, 2019, including the unaudited interim Condensed Consolidated Balance Sheets, Condensed Consolidated Statements of Income, Condensed Consolidated Statements of Cash Flows, Condensed Consolidated Statements of Stockholders' Equity and Notes to the condensed consolidated financial statements, are attached hereto as Exhibit 3.1 and are hereby incorporated by reference into this Quarterly Report.

The unaudited interim condensed consolidated financial statements have been prepared in accordance with generally accepted accounting principles in the United States ("U.S. GAAP"). The accompanying unaudited interim condensed consolidated financial statements reflect all adjustments which are, in the opinion of management, necessary for a fair statement of the results for the interim periods presented. These adjustments are of a normal recurring nature. As permitted under U.S. GAAP, certain footnotes or other financial information are condensed or omitted in the unaudited interim condensed consolidated financial statements. These unaudited interim condensed consolidated financial statements should be read in conjunction with the consolidated financial statements and related notes included in our Annual Report for the year ended December 31, 2019. The December 31, 2019 unaudited Condensed Consolidated Balance Sheet was derived from audited consolidated financial statements contained in our Annual Report for the year ended December 31, 2019, but does not include all disclosures required

by U.S. GAAP. Operating results for the interim periods are not necessarily indicative of the results that may be expected for the fiscal year ending December 31, 2020.

Item 4. Management's discussion and analysis

Overview

Our mission is to create better informed and more efficient financial markets.

We operate three business lines:

- OTC Link LLC is a FINRA member broker-dealer that operates two SEC registered ATSS.
- Market Data Licensing distributes market data and financial information.
- Corporate Services operates the OTCQX and OTCQB markets and offers issuers disclosure and regulatory compliance products.

We facilitate transparent trading by connecting brokers, organizing markets and incentivizing disclosure. We distribute market data that informs investment decisions, enables the efficient pricing of risk, and assists regulated entities in meeting their compliance obligations. We provide the benefits of public trading to a wide spectrum of U.S. and global companies.

Our Business

Our wholly owned subsidiary, OTC Link LLC, a FINRA member broker-dealer, operates OTC Link ATS and OTC Link ECN, both SEC registered ATSS. Accordingly, OTC Link LLC, OTC Link ATS and OTC Link ECN are subject to the direct regulatory oversight of the SEC and FINRA.

OTC Link ATS offers our broker-dealer subscribers a fully attributable, network-based model for quoting and facilitating transactions in OTC equity securities and serves a diverse community of FINRA member broker-dealers that operate as market makers, agency brokers and ATSS, including Electronic Communication Networks ("ECNs"). OTC Link ATS provides a suite of quotation and trade-messaging services offering broker-dealers control of trades and choice of counterparties so they can efficiently provide best execution, attract order flow, and comply with FINRA and SEC regulations. Unlike traditional exchanges and matching engines, OTC Link ATS is not an intermediary. Rather, OTC Link ATS delivers trade messages electronically, allowing subscribers to execute or negotiate trades.

OTC Link ECN functions as a matching engine and router for certain OTC securities. OTC Link ECN complements OTC Link ATS by providing FINRA registered broker-dealer subscribers with anonymous order matching functionality. OTC Link ECN acts as an agency intermediary in relation to all transactions executed on the ECN's platform. When orders do not match internally on OTC Link ECN's matching engine, they may be routed to an interdealer quotation system where they may appear as quotes using the market participant identifier "OTCX". Pursuant to applicable FINRA rules, OTC Link ECN submits trade reports to FINRA's OTC Reporting Facility. All transactions executed on OTC Link ECN are cleared and settled pursuant to a clearing agreement with Apex Clearing Corporation.

OTC Markets Group provides our subscribers with access to extensive market data and financial information. Due to the role OTC Link ATS plays in the trading process, and our interaction with issuers, we generate a significant amount of market data and information about companies. Our market data consists of real-time, delayed and end-of-day quotation and trading data, as well as security master data, company reference data, compliance data and compliance analytics for OTCQX, OTCQB, and Pink securities.

We offer a suite of market data licenses, priced per enterprise or per user, through direct connectivity, extranet connectivity, web interfaces, third-party market data redistributors and Order Management Systems ("OMS"). Depending on the license type, subscribers may use the market data internally, redistribute to specified clients or to the public. We generate a majority of our market data revenues from

sales through market data redistributors, and certain of our market data licensing agreements include redistribution fees and rebates.

We also charge for the display of advertisements on www.otcmarkets.com.

Our Corporate Services business line includes the OTCQX Best Market, the OTCQB Venture Market, the Pink Open Market, and our suite of disclosure and information services.

The OTCQX Best Market provides efficient public trading without the complexity and cost of a national securities exchange listing. To join OTCQX, companies must meet qualitative financial standards, adhere to common sense corporate governance practices, provide timely public disclosure and meet the requirements set out in our OTCQX Rules on an ongoing basis. Companies pay a one-time application fee and annual fees upon joining the market and upon each annual renewal.

The OTCQX market is divided into OTCQX U.S. and OTCQX International. OTCQX U.S. for Banks is specifically aimed at meeting the needs of U.S. community and regional banks. The OTCQX International market is targeted towards non-U.S. companies that meet the listing standards of a qualified non-U.S. stock exchange in their primary market, including (i) large global issuers that do not see value in meeting multiple regulatory, compliance, disclosure, and accounting standards involved in a U.S. stock exchange listing, and (ii) emerging growth companies that may be working towards a U.S. exchange listing, but are not yet ready to deploy the management resources necessary to handle the operational complexity and cost burdens.

The OTCQB Venture Market provides public trading for developing and venture-stage companies and applies standards that promote price transparency and facilitate public disclosure. The OTCQB market is open to SEC reporting companies, domestic companies that comply with our Alternative Reporting Standard and international companies that trade in the U.S. in reliance on one of various available exemptions from SEC registration, and, in each case, meet the applicable OTCQB standards.

Securities traded on OTC Link ATS that do not meet the standards of, or choose not to apply for, the OTCQX Best Market or the OTCQB Venture Market are traded on the Pink Open Market. Companies on the Pink market are categorized as “Pink Current Information,” “Pink Limited Information” or “Pink No Information” based on the sufficiency and timeliness of the information they provide to investors. Pink companies can subscribe to our OTC Disclosure & News Service® to make current information available to their investors on our website and through our distribution channels.

Securities traded on the Pink Open Market that are the subject of a public interest concern may be flagged “Caveat Emptor” or buyer beware. We also operate the Expert Market, a venue for broker-dealers and professional investors to find price transparency and achieve best execution in certain restricted or higher-risk securities that may not be eligible for public quoting or suitable for retail investors. The distribution of quotations in Expert Market securities is limited to broker-dealers and such quotations are not made available to the general public.

Recent Business Developments

Impact of the Recent COVID-19 Pandemic

The global spread of COVID-19 has resulted in governmental and other authorities around the world implementing numerous measures to contain the virus, including travel bans and restrictions, quarantines, shelter-in-place orders and business shutdowns. The pandemic and these ongoing containment measures have had, and are expected to continue to have, a substantial negative impact on many businesses around the world and on global, regional and national economies. There is considerable uncertainty related to how the continuing global outbreak could impact any recovery or precipitate a further deterioration in global economic conditions.

We have continued to operate our business in accordance with state and federal public health guidelines and with a majority of our employees working remotely since March. In July, we began permitting a small number of employees to return to our New York City headquarters and Washington D.C. office, each on a voluntary basis. We have implemented health and safety protocols at our offices, including

ensuring that reduced density is maintained, instituting temperature checks and other policies. We plan to continue to operate predominantly remotely, at least through the end of 2020. Pursuant to our Business Continuity Plan, we are able to operate normally while connecting remotely, which gives us the opportunity to carefully assess and develop our plan for bringing employees back to the office. We will continue to evaluate the unfolding situation and plan to take a conservative and measured approach to returning to our offices that balances the health and safety of our colleagues, operational effectiveness and our ability to serve our subscribers.

During the first several months of the COVID-19 pandemic, we saw a significant slowdown in the number of companies joining our OTCQX and OTCQB markets. During the second quarter, we observed a gradual recovery in the number of companies seeking to join our markets and, in the third quarter, we saw a strong rebound in OTCQX and OTCQB sales. In the aggregate, the COVID-19 pandemic did not have a material adverse impact on our revenue and financial results for the first nine months of 2020, with strong growth in our OTC Link business line, particularly in transaction based trading revenues, and the impact of price increases and user growth in our Market Data Licensing business offsetting flat revenue performance in our Corporate Services business (see *Financial Results*, below).

However, it is possible that the current global economic conditions could have an adverse effect on our future business, financial condition and results of operations. We have seen, and could in future periods see, reduced sales in our Corporate Services business and an increase in our voluntary non-renewal rate as issuers reach the end of their service terms. In recognition of the unprecedented economic conditions, during the first nine months of 2020, we offered financial assistance in the form of extended payment terms to issuers on our OTCQB market and extended public disclosure filing deadlines for OTCQX and OTCQB companies in line with similar SEC extensions (see *Temporary Relief Provided to Companies on our Markets, including Extended Payment Terms for OTCQB Companies*, below).

The extent to which the COVID-19 pandemic will materially adversely affect our business and results of operations will depend on numerous evolving factors and future developments that we are not able to predict, including the duration, spread and severity of the outbreak; the nature, extent and effectiveness of containment measures; the extent and duration of the pandemic's effect on global economic conditions and how quickly and to what extent normal economic and operating conditions can resume. The potential impact to our financial results is discussed further in the *Trends in Our Business* section, below.

Temporary Relief Provided to Companies on our Markets, including Extended Payment Terms for OTCQB Companies

In March and April 2020, we announced measures designed to provide temporary relief to issuers on our OTCQX and OTCQB markets from certain of our market standards and requirements. In the context of the unprecedented market turmoil caused by the COVID-19 pandemic, we provided OTCQX and OTCQB issuers with relief from bid price, market capitalization, market value and public float requirements through June 30, 2020. We remain committed to maintaining orderly markets and adhering to our data driven market standards, while recognizing, as other market operators have, that temporary relief from certain requirements is an appropriate response to extreme circumstances such as the COVID-19 pandemic.

Beginning in March 2020, we also provided relief to renewing OTCQB customers by extending our regular payment terms by as much as ninety days.

Launch of our Blue Sky Data Product

In September 2020, we introduced our Blue Sky Secondary Trading Compliance Data Product, a premium offering designed to provide a comprehensive view of compliance data on state "Blue Sky" secondary trading rules for more than 16,000 OTC equity securities and 80,000 OTC corporate fixed income securities.

This new data feed gives subscribers the ability to evaluate Blue Sky compliance for more than 96,000 securities representing approximately 50,000 issuers. By integrating these data feeds into their daily

operations, broker-dealers can streamline and automate compliance with state securities laws for secondary trading. Automating the Blue Sky compliance process allows brokers to whitelist securities of compliant issuers and identify non-compliant trades before they are entered.

We believe that the total addressable market for this product amounts to approximately \$2.5 million to \$3 million and expect to be able to onboard subscribers and capture some of that share. However, it is not yet possible to predict how successful we will be in doing so, or the impact this new product offering will have on our financial results. We also anticipate that the sales cycle for this product could be long and cannot predict how long it will take to close new sales and onboard users.

Virtual Investor Conferences® Business

Following our 2019 acquisition of assets related to the Virtual Investor Conferences business (“VIC”), we have devoted internal resources to growing our VIC business. As the COVID-19 pandemic continues to require remote working arrangements, we view the VIC offering as an important tool for issuers to communicate and engage with investors and potential investors. For the nine months ended September 30, 2020, we hosted 19 VICs, with a total of 232 companies participating, reaching more than 18,000 investors. We have a further 8 events scheduled through the rest of 2020, including a partner event with Deutsche Bank. During the first nine months of 2019, we hosted 14 events and for the year ended December 31, 2019 we hosted a total of 18 events.

Recent Regulatory Developments Impacting our Business

SEC Final Rule Amending Exchange Act Rule 15c2-11

On September 16, 2020, the SEC published a Final Rulemaking on Publication or Submission of Quotations without Specified Information (the “Adopting Release”), amending Rule 15c2-11 under the Exchange Act (“Rule 15c2-11” or the “Amended Rule”). Rule 15c2-11 governs the ability of broker-dealers to publish quotations in interdealer quotation systems (“IDQS”), such as our OTC Link ATS. OTC Link LLC and OTC Link ATS, our broker-dealer subscribers, and companies quoted on our markets must comply with the Amended Rule on or before September 26, 2021 (the “Compliance Date”).

Subject to certain limited exceptions, the Amended Rule will generally prohibit broker-dealers from submitting or publishing quotations in securities on OTC Link ATS unless current information about the company is publicly available. The Amended Rule will permit OTC Link ATS to act as a “Qualified IDQS” and perform the required information review to determine whether a security is eligible for public quoting. Under the new framework, broker-dealers will be able to rely on our information review and current information designations in submitting quotations on our OTC Link ATS. The ability to perform the necessary information review requirements as a Qualified IDQS will streamline the onboarding of securities onto our markets, incentivize ongoing company disclosure and relieve broker-dealers of the obligation to independently review company information.

For a security to become quoted initially, the issuing company must undergo an initial information review or otherwise comply with one of Rule 15c2-11’s available exemptions. The Amended Rule maintains existing exemptions to the initial information review requirements for exchange-listed and municipal securities and adopts several new exceptions, including for securities of issuers that meet minimum financial and trading volume thresholds and those that have been the subject of underwritten offerings. Unsolicited quotations will continue to be exempt from the information requirements under the Amended Rule, provided they are from investors not affiliated with the company.

To be eligible for public quotations on an ongoing basis, the Amended Rule’s modified “piggyback exemption” requires that (i) the company makes the specified current information publicly available, and (ii) the security is subject to a one-sided (i.e. a bid or offer) priced quotation, with no more than four business days in succession without a quotation. Under the Amended Rule, shell companies and formerly suspended securities may only rely on the piggyback exemption in certain limited circumstances.

We do not anticipate having to make material changes to the OTCQX Rules, OTCQB Standards or Pink Current Guidelines to conform to the Amended Rule. As a general matter, companies that meet these current information standards and the requirements for continued quoting under the Amended Rule as of the Compliance Date will be eligible for continued public quoting on our markets.

Companies that do not make current information available, and do not meet one of the enumerated exemptions, will no longer be eligible for public broker-dealer quotations. This may include securities designated as “Pink No Information”, certain shell companies, and those that do not maintain priced broker-dealer quotations. Securities that are no longer eligible for public quoting under the Amended Rule may be eligible to be quoted pursuant to an “Expert Market” exemption from the Amended Rule, described further below.

The Adopting Release indicates that the SEC has authority to issue exemptive relief recognizing an “Expert Market” for sophisticated or professional investors, where quotation information is not distributed or made available to retail investors or the general public. We are currently seeking exemptive relief under the Amended Rule for an expanded use of our Expert Market (see *Overview*, above). We are also seeking exemptive relief to streamline and simplify continued public quoting for certain categories of lower-risk securities on our markets, including banks and certain foreign issuers. We continue to engage with the Commission on a regular basis regarding additional exemptive relief and general compliance with the Amended Rule.

We plan to devote significant technology, compliance, legal, personnel and other resources towards compliance with the Amended Rule in advance of the Compliance Date. While we expect our financial results will be impacted as a result of the Amended Rule, it is not yet possible to determine the scope or extent of such an impact.

Consolidated Audit Trail

In 2016, the SEC approved a National Market System (NMS) plan to create a comprehensive database of trading activity, or consolidated audit trail (“CAT”), for regulatory market surveillance purposes. Under the CAT plan, self-regulatory organizations (“SROs”) and FINRA member broker-dealers (such as OTC Link LLC) are required to report information to, and fund the operation of, the CAT. The operating committee for the CAT plan has adopted certain technical specifications and timeliness for compliance but has not yet established the funding requirements for the CAT. The initial phase of CAT reporting obligations applicable to OTC Link LLC and its broker-dealer subscribers began on June 22, 2020. We continue to engage with the SEC and the SROs, including FINRA, to define CAT reporting obligations related to OTC equity securities in the later stages of CAT implementation.

As the next phases of the CAT plan become effective through 2021, the applicable CAT reporting requirements are likely to result in increased compliance and technology costs that may be material. It is not possible at this time to determine the potential impact on our financial results.

FINRA Rule 6439 and Retirement of the OTC Bulletin Board® (“OTCBB”) Service

On September 24, 2020, FINRA filed with the SEC a proposed rule change seeking to (1) cease operating the OTCBB, and (2) enhance the regulatory obligations related to member IDQs by introducing proposed Rule 6439 (the “FINRA Proposal”).

Rule 6439 would impose additional requirements on member IDQs, such as OTC Link ATS, that permit quotation updates on a real-time basis in OTC Equity Securities. Rule 6439 also imposes monthly reporting obligations for order and quotation data and mandates timely reporting of system disruptions.

On October 28, 2020, we submitted comments in response to the FINRA Proposal, expressing our support for the retirement of the OTCBB and suggesting ways to improve Rule 6439 to reduce regulatory inefficiencies and enhance market integrity.

We do not expect that the FINRA Proposal will have a material impact on our financial results.

Blue Sky Secondary Trading Exemptions for OTCQX and OTCQB

As of November 1, 2020, our OTCQX and OTCQB markets are exempt from state Blue Sky laws regarding secondary trading in 37 states – Alaska, Arkansas, Colorado, Connecticut, Delaware, Georgia, Hawaii, Idaho (OTCQX only), Indiana, Iowa, Kansas (OTCQX only), Kentucky, Louisiana, Maine, Michigan, Minnesota, Mississippi, Missouri, Nebraska, New Jersey, New Mexico, North Dakota, Ohio, Oklahoma, Oregon, Pennsylvania, Rhode Island, South Dakota, Tennessee, Texas, Utah, Vermont (OTCQX only), Virginia (OTCQX only), Washington, West Virginia, Wisconsin and Wyoming. State Blue Sky laws generally help investors make informed decisions by mandating that companies disclose accurate and current information when offering or marketing securities.

In connection with this initiative, in July 2018 the North American Securities Administrators Association (“NASAA”), the national organization of state securities regulators, announced a proposed model rule that would recognize OTC Markets Group as a “securities manual” with respect to securities on the OTCQX and OTCQB markets. If adopted by NASAA, the proposed model rule could lead to additional states recognizing these markets.

We believe recognition of our markets by state regulators and the resulting Blue Sky exemptions will make OTCQX and OTCQB more attractive to current and prospective companies. However, the potential impact of this initiative on our financial results is indirect, and therefore difficult to determine.

ESOP Fairness Act

On February 11, 2020, the ESOP Fairness Act (S.3270) (H.R.5851) was introduced by bi-partisan co-sponsors in the House and Senate. Employee stock ownership plans (“ESOPs”) give employees a greater opportunity to take an ownership stake in the companies they work for, which aids employee retention and promotes small company growth. Current IRS regulations impose additional requirements on non-exchange listed companies that seek to offer an ESOP. We have long advocated for modernization of the rules regarding ESOPs. The ESOP Fairness Act would put qualified companies that meet established financial standards, such as those traded on the OTCQX market, on par with exchange listed companies by allowing them to fully access the benefits of public company ESOPs.

Following its introduction, the bill has gained additional co-sponsors in the House and Senate and we continue to support this legislation as it awaits further Congressional consideration. The progress of the bill, and the potential that it is ultimately enacted into law, will determine the extent to which the ESOP Fairness Act will impact our financial results.

Thinly Traded Securities

On October 17, 2019, the SEC issued a Policy Statement on Market Structure Innovation for Thinly Traded Securities (the “Policy Statement”), seeking proposals to improve secondary market trading for smaller companies with less actively traded securities, including proposals to suspend or terminate unlisted trading privileges (“UTP”) for these companies and consolidate all trading onto a single exchange. UTP permits securities listed on a national securities exchange to be traded on other exchanges. Suspending UTP, or regulatory recognition of a single venue for small company trading, could negatively impact our Corporate Services business. On February 5, 2020, Nasdaq, Inc. submitted a proposal in response to the SEC’s Policy Statement, proposing a set of rules for thinly traded securities that would, among other things, suspend UTP (the “Nasdaq Proposal”). If the SEC were to approve the Nasdaq Proposal, it is possible that Nasdaq could increase its efforts to compete for listings of certain companies currently traded on our OTCQX and OTCQB markets.

The SEC has not yet commented on the Nasdaq Proposal, or proposed any formal rulemaking with respect to thinly traded securities and, as such, we are not able to determine the potential impact of this Policy Statement or the Nasdaq Proposal on our financial results.

NSCC Clearing Fund Proposals

On March 16, 2020, the National Securities Clearing Corporation (“NSCC”) filed a proposed rule change with the SEC to enhance the calculation of certain components of the NSCC’s Clearing Fund formula,

including charges applicable to illiquid securities (the “March Proposal”). Under current NSCC rules, all OTC traded securities are treated as “Illiquid Securities” and member firms are subject to additional Clearing Fund requirements with respect to such securities. The March Proposal would, among other things, amend the definition of Illiquid Securities to include certain exchange-traded stocks and modify the Clearing Fund requirements applicable to Illiquid Securities.

We submitted comments in response to the March Proposal on June 26, 2020 and July 21, 2020. Our comments urge the SEC to disapprove the March Proposal and describe how any increase in the costs applicable to Illiquid Securities would disproportionately impact smaller broker-dealers accessing our markets and increase fees for investors seeking to settle and clear transactions in small company and OTC-traded securities. On November 6, 2020, the SEC published a notice that may preliminarily approve the March Proposal.

On July 30, 2020, the NSCC filed a second proposal seeking to modify its margin requirements for member firms applicable to certain assets, including Illiquid Securities (the “July Proposal”). On September 10, 2020, we submitted comments to the July Proposal in line with our prior comments to the March Proposal. On October 14, 2020, the SEC issued an order granting accelerated approval of the July Proposal, effective November 19, 2020.

OTC Link LLC does not typically have a closing net long or short position with NSCC. Therefore, the potential impact of these proposals is not yet possible to determine.

Trends in Our Business

Considerable uncertainty still surrounds the continuing trajectory of the COVID-19 pandemic and its potential long-term effects on the global economy. The full scope and extent of the potential impact to our business in future quarters is dependent on a number of factors which are highly uncertain and cannot be predicted, including the scope and duration of the pandemic, the continuing effectiveness of our work from home arrangements, the ability of third party vendors to continue to support our operations, the extent and scope of the adverse impact to our subscribers and customers, the extent and duration of the global economic downturn and how quickly and to what extent normal economic and operating conditions can resume.

Our framework for managing through this challenging environment is grounded in four key principles: supporting our colleagues and prioritizing their safety and well-being; continuing to serve our subscribers and customers; ensuring that we take the measures necessary in the short-term to protect our current operations and remain financially strong; and remaining focused on the critical long-term strategic initiatives that position our business for future growth. A majority of our employees continue to operate fully remotely and non-essential business travel remains limited. We have taken a conservative and measured approach to having employees voluntarily return to our offices, one that seeks to safeguard the health and safety of our colleagues while allowing us to best serve our clients.

We have continued to operate our businesses, including facilitating unprecedented trading volumes on our two SEC registered ATSS. We continue to support our broker-dealer community, the users of our market data and the diverse community of U.S. and global issuers that we serve. We have been able to engage with our Corporate Services customers by remotely hosting virtual events via our VIC business and through digital content and our relationship management teams. We continue to devote resources to marketing and selling efforts focused on growing our subscriber base and adding issuers to our premium markets.

We operate three distinct business lines that generate diversified revenue streams and serve a broad range of market participants and a wide spectrum of U.S. and global issuers. We benefit from a subscription-based revenue model. For the nine months ended September 30, 2020, 84% of our revenues were derived from subscription-based arrangements that are recurring in nature. We ended the quarter with a strong balance sheet, \$29 million in cash on hand, no debt and access to a line of credit with JPMorgan Chase that makes up to \$1.5 million available for business operations.

The COVID-19 pandemic has not materially adversely affected our financial results for the three months ended September 30, 2020, with strong growth in our OTC Link business line and the impact of price increases and user growth in our Market Data Licensing business, offsetting weaker results in our Corporate Services business (see *Financial Results*, below).

We have continued to see increased trading activity in the U.S. equity markets. In our OTC Link business, this has driven significant increases in transactional volume on our OTC Link ECN. For the three months ended September 30, 2020, we executed an average of 10,000 transactions per day on our OTC Link ECN, as compared to an average of 3,600 transactions per day during the same prior year period. This contributed to significant revenue growth from our OTC Link ECN and was the primary driver of the 28% quarter over quarter increase in revenues from OTC Link. There is no guarantee this increased trading activity will continue. Launched in late 2017, our OTC Link ECN has 69 subscribers as of September 30, 2020. We expect to continue to attract new subscribers to the platform and to grow our market share. However, the total addressable market is relatively limited, and historically we have competed more aggressively on pricing in order to capture additional market share.

In our Market Data Licensing business, we saw a 7% increase in professional users, from 21,446 professional users as at September 30, 2019 to 22,926 professional users as at September 30, 2020. Effective January 1, 2020, we raised the monthly subscription price for Level 1 and Level 2 professional users of our market data from \$35 and \$75 per month, respectively, to \$45 and \$85 per month, respectively. This, together with quarter over quarter growth in the number of users, helped drive a 20% increase in quarter over quarter revenues derived from professional users.

In the months following the COVID-19 pandemic, we have seen a marked increase in the number of non-professional users of our market data, with 20,102 users as at September 30, 2020. This represents a 45% increase over the 13,892 users of our data as at September 30, 2019, and a 72% increase over the number of users as at March 31, 2020. Historically, and in the normal course of business operations, we have seen fluctuations in the number of non-professional users, in particular in response to volatility in the market and increased retail trading interest in “hot sectors”. We have also seen significant growth from retail investors in Canada. The marked increase in the number of non-professional users over the past two quarters is likely related to increased retail participation in U.S. equity markets more generally.

It is possible that the existing adverse economic conditions caused by the COVID-19 pandemic may worsen, become prolonged, or lead to a more severe economic recession. If that were to occur, we could see a decline in trading activity that could adversely affect our subscriber base and in turn our OTC Link and Market Data Licensing revenues. Our OTC Link broker-dealer subscribers, as well as enterprise level and other users of our Market Data Licensing products, could delay or defer purchasing decisions and product implementations, curtail their spending or cancel their services entirely. It is also likely that over the long term, equity market conditions will normalize and volatility will decline, which may drive a decrease in trading activity on our platform and a pullback in the number of users of our market data.

We continue to focus resources on developing and enhancing our suite of compliance analytics and compliance data products. In April 2019, we launched Canari®, a web-based tool designed to provide users with a comprehensive view of quantitative compliance data for OTCQX, OTCQB, Pink, Expert Market and Grey Market securities (those without a public quote), as well as certain exchange listed securities. As of November 1, 2020, a total of 44 firms subscribe to our Compliance Data or Compliance Analytics products, representing most of the largest banks, custodians and clearing firms in the U.S. equities space. We have devoted significant resources to growing the subscriber base and believe that we have captured much of the total addressable market with respect to our existing product suite. Further, over the longer term, consolidation amongst the larger financial services firms is likely to continue and could impact the addressable market for our compliance products and for our enterprise level market data products more generally.

During 2019 and 2020, we devoted significant resources to developing our Blue Sky Data Product (see *Recent Business Developments*, above). Launched in September 2020, our Blue Sky Data Product is a premium offering designed to provide broker-dealers and other market participants a comprehensive

view of compliance data on state “Blue Sky” secondary trading rules for more than 16,000 OTC equity securities and 80,000 OTC corporate fixed income securities. This new data feed allows subscribers to automate their Blue Sky compliance processes thereby reducing regulatory risk and lowering compliance costs. We believe that the total addressable market for this product amounts to approximately \$2.5 million to \$3 million and we expect to be able to capture some of that share. However, it is not yet possible to predict how successful we will be in doing so, or the impact this new product offering will have on our financial results. We also anticipate that the sales cycle for this product could be long and cannot predict how long it will take to close new sales and onboard users. We will be devoting internal resources to onboarding subscribers to this product and to growing the number of subscribers during 2021.

We have continued to focus on providing enhanced disclosure and investor engagement tools to corporate issuers on our OTCQX and OTCQB markets. These initiatives include growing our VIC business; the expansion of our Premium Provider Directory; and other visibility initiatives, such as our tie-ins with IR Magazine and Proactive Investors, as well as our company video and podcast series.

We have continued to work closely with the Canadian Securities Exchange to jointly market a North American capital markets solution and are devoting further resources to similar initiatives with other global exchanges. Through our continued selling efforts, joint marketing efforts and enhanced product offerings, we hope to attract additional issuers to our markets. It is not yet possible to predict the impact these initiatives will have on Corporate Services revenues.

As of September 30, 2020, 441 companies were traded on the OTCQX Best Market, up versus the 436 companies on the market as at the prior year quarter. For the 2020 annual subscription period, we achieved a 92% retention rate, representing a 2 percentage point decrease versus our retention rate for the 2019 annual subscription period. We saw a significant drop in new sales during the first quarter of 2020, with nine companies joining the OTCQX market, versus the 30 companies added to the market during the first quarter of 2019. Difficult market conditions in the first and second quarters of 2020 resulted in a reduction in the number of companies that met our continuing market standards and likely resulted in qualified companies delaying or deferring purchasing decisions. During the second quarter of 2020, we saw a modest rebound in OTCQX sales, with 19 companies added, and with 13 of those sales closing in the month of June. This compares to a total of 30 companies added during the second quarter of 2019. During the quarter ended September 30, 2020, we saw a marked increase in the number of companies joining our OTCQX market, both sequentially and versus the prior year quarter, with 44 new sales as compared to 31 new sales in the quarter ended September 30, 2019. With downgrades and other service cancellations remaining largely consistent, this was the primary driver of the increase in companies on the OTCQX market.

In September 2020, we announced that we will be raising annual fees for our OTCQX market from \$20 thousand to \$23 thousand, effective for companies joining the OTCQX market or renewing their services on or after January 1, 2021. This represents the first raise in our annual fees for the OTCQX market since 2016. Companies on our OTCQX market choose to renew their services annually, on a calendar year basis. Historically, we have seen that the vast majority, more than 90% of companies on the market, choose to renew their services at the end of their service terms. However, it is possible that the current difficult market conditions or a further deterioration in the macroeconomic outlook, could result in an increase in the number of OTCQX companies who choose not to renew their services for the 2021 subscription period.

As of September 30, 2020, there were 874 companies on the OTCQB Venture Market, down versus the 915 companies as of September 30, 2019. For the year ended December 31, 2019, we saw a decline in new sales, with 202 companies added, down versus the 243 joins in 2018. New sales in 2019 were constrained by a combination of factors, including the strengthening of OTCQB eligibility requirements, which had the effect of reducing the overall addressable market. For the quarter ended March 31, 2020, we added 28 new companies to the OTCQB market, down significantly versus the 68 companies added in the prior year quarter. During the quarter ended June 30, 2020, we saw an uptick in sales on our

OTCQB market, with 45 new joins, up from the 38 companies added to the market in the quarter ended June 30, 2019. For the quarter ended September 30, 2020, we continued to see strong sales relative to the prior year quarter, with 62 companies added as compared to the 53 companies that joined the market during the quarter ended September 30, 2019. While we saw a slight uptick in our voluntary non-renewal rates for the second quarter of 2020, during the current quarter, we saw an improvement in our non-renewal rates. For the nine months ended September 30, 2020, our voluntary non-renewal rate on the OTCQB market stands at 5%, as compared to 6% for the nine months ended September 30, 2019.

While we have seen a strong rebound in sales for both our OTCQX and OTCQB markets, a further deterioration in macroeconomic conditions, especially if prolonged, could result in a dampening of demand for our Corporate Services products. Given our subscription-based revenue model – and in particular in relation to our Corporate Services business, where subscription periods range from six months to fifteen months – any prolonged decline in sales, particularly if combined with an uptick in our non-renewal rates, would drive a decline in the number of companies on our premium markets, which would negatively impact our financial results both in the periods in which those declines occur, and in future periods.

In September 2020, we announced that we will be raising annual fees for our OTCQB market from \$12 to \$14 thousand for those paying annually, and from \$13 to \$15 thousand for those paying semi-annually. These increases are effective for companies joining the OTCQB market or renewing for service periods that begin on or after January 1, 2021 and represent the first such increase in fees since 2018. Historically, we have seen the vast majority of OTCQB companies, more than 90%, choose to renew their services at the end of their service terms. However, it is possible that the current difficult market conditions, or a further deterioration in the macroeconomic outlook, could result in an increase in the number of OTCQB companies who choose not to renew their services in the future.

For additional disclosure related to the potential impact of the COVID-19 pandemic on business operations, our financial results, see the risk factors discussed under the heading “Risk Factors” in our Quarterly Report for period ended March 31, 2020 and Annual Report for the year ended December 31, 2019.

Over the past several years, we have made significant progress in our goal of gaining regulatory recognition for our OTCQX and OTCQB markets. We are continuing to work towards full nationwide Blue Sky recognition for secondary trading activities on our OTCQX and OTCQB markets.

We intend to continue our efforts to gain federal regulatory recognition for our data driven market standards and compliance processes and to advocate for changes that provide issuers on our market with a more efficient public market. For example, we have made some headway in gaining additional House and Senate co-sponsors of the ESOP Fairness Act, legislation that would ease restrictions on qualified OTC issuers wishing to offer their employees access to an employee stock ownership plan, or ESOP, and we are making some progress in advancing regulatory change that would designate certain OTCQX and OTCQB securities as margin eligible. Recognition of our market standards by federal, state and international regulators provides investors with a benchmark against which to measure the quality of information available to them, while providing corporate issuers with a more efficient public market.

On September 16, 2020, the SEC published a Final Rulemaking on Exchange Act Rule 15c2-11 (see “SEC Final Rule Amending Exchange Act Rule 15c2-11” under *Recent Regulatory Developments*). OTC Link LLC and OTC Link ATS, our broker-dealer subscribers, and companies quoted on our markets must comply with the Amended Rule on or before the September 2021 Compliance Date.

We expect that the Amended Rule, and the ability to perform the necessary information review requirements as a Qualified IDQS, will allow us to streamline the onboarding of securities onto our markets and engage with additional companies to use our disclosure and other Corporate Services products. We plan to devote significant technology, compliance, legal and other resources in advance of the Compliance Date. For example, we anticipate hiring additional compliance staff and consuming additional market data feeds in order to conduct the required information review as a Qualified IDQS. The extent of necessary changes to our system, processes and personnel will depend, in part, on the

exemptive relief we receive from the SEC. While we expect our financial results will be impacted as a result of the Amended Rule, it is not yet possible to determine the scope or extent of such an impact.

For additional disclosure related to our regulatory initiatives, see *Recent Regulatory Developments Impacting Our Business*, above.

As we navigate the challenging economic conditions resulting from the COVID-19 pandemic, we continue to evaluate both the current and future period impact of increasing costs related to our personnel, IT infrastructure and expense base more generally. Consistent with other companies in the financial technology sector, compensation and information technology costs make up a very significant proportion of our overall expenses, representing approximately 79% and 80% of our total operating expenses in the three months ended September 30, 2020 and 2019, respectively. We recognize the importance of attracting and retaining the talent required to develop our service offerings and manage our infrastructure.

We have added headcount where we believe those additional resources can drive future earnings growth or are necessary to provide reliable services to our clients or to comply with our regulatory obligations. Our headcount as of September 30, 2020 was 101, flat versus our headcount as at September 30, 2019. We have not made and, at this time, do not plan to make any reductions to our existing headcount or compensation structure. As the COVID-19 pandemic unfolds, we will continue to evaluate our expense base in the context of our business operations and financial results. However, given that a significant portion of our costs are relatively fixed in nature, it may not be possible to reduce our operating expenses in line with any reduction in our revenues, which would result in a contraction in our operating margin and a reduction in our operating income and earnings.

We have continued to make investments in the personnel that support our technology infrastructure. We believe such investments are necessary if we are to remain compliant with our regulatory obligations, including our obligations under Regulation Systems Compliance and Integrity (“Regulation SCI”) and our CAT reporting responsibilities. We expect that future investments with respect to our Rule 15c2-11, Regulation SCI and CAT compliance will be material to our financial results.

How OTC Markets Group Generates Revenues

Each of our three business lines offers a distinct fee structure designed to serve its constituents. OTC Link operates OTC Link ATS, with a subscription model and usage-based fees, and OTC Link ECN, with transaction-based fees. Corporate Services charges application fees, and subscription fees on an annual and semi-annual basis. Market Data Licensing charges distribution and licensing fees. A significant proportion of our revenues are derived pursuant to subscription arrangements; consequently, a significant majority of our revenues are recurring in nature. For the first nine months of 2020 and 2019, respectively, approximately 84% and 87% of our revenues were derived pursuant to subscription arrangements, respectively.

Each of our business lines is described in detail below.

OTC Link

Our trading services business is operated by our wholly owned subsidiary, OTC Link LLC. OTC Link LLC operates OTC Link ATS and OTC Link ECN.

Broker-dealers pay monthly subscription and connectivity fees to use OTC Link ATS. Our OTC Dealer[®] application provides broker-dealers a user interface into OTC Link ATS. Fees for use of the OTC Dealer application are based on the number of authorized users per subscriber and are discounted in graduated amounts in relation to total users per subscriber.

OTC Link ATS’s FINRA member broker-dealer subscribers pay per security usage fees to (i) publish quotes and (ii) communicate and negotiate with counterparties on OTC Link ATS. Monthly OTC Link ATS position fees are based on the number of daily quote positions in Pink securities, with tiered pricing arrangements based on volume. Monthly OTC Link ATS message fees are based on the daily number of securities on OTC Link ATS for which trade messages are sent or received, with tiered pricing

arrangements based on volume. The daily quoting and messaging fees allow subscribers to make unlimited quote updates in a single security and to send and receive an unlimited number of trade messages in a security on a given day.

OTC Link ECN generates transactional revenues based on share volume executed on the ECN matching platform. Broker-dealer subscribers pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity.

Market Data Licensing

We generate Market Data Licensing revenues by providing our subscribers with access to the extensive market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines.

Investors, traders, institutions, accountants, and regulators pay us monthly license fees to access this information. We offer a suite of market data licenses, priced at per enterprise or per subscriber rates, through direct connectivity, extranet connectivity, web interfaces, third-party market data redistributors and OMS providers. Depending on the license type, subscribers may distribute the market data on an internal-only basis, to clients, or to the public. We generate a majority of our Market Data Licensing revenues from sales through market data redistributors. The market data redistributors that offer our market data to their subscribers have historically remained long-term clients.

Certain of our market data license agreements include redistribution fees and rebates, which represented 10% of gross revenue from our Market Data Licensing business for the third quarter and first nine months of 2020 and 2019.

Pricing information for each of our market data licenses is publicly available on our website.

We also charge for the right to display advertisements on www.otcmarkets.com. Website advertising revenue is included in our Market Data Licensing business line.

Corporate Services

We operate the OTCQX Best Market, the OTCQB Venture Market, and offer a suite of services to companies trading on all of our markets. These services include our Disclosure & News Service® (“DNS”) for posting financial reports, disclosure documents and news releases; the VIC; Real-Time Level 2 Quote Display, a service that companies sponsor to provide their investors with access to free real-time level 2 quotes on www.otcmarkets.com and the company’s website; and the Blue Sky Monitoring Service for analysis, review, and guidance about a company’s compliance with each U.S. state’s securities laws.

Companies that choose to have their securities designated as OTCQX securities do so annually, on a calendar year basis, while companies on the OTCQB market renew their services annually or semi-annually based on the anniversary of the date on which they joined the market. All companies traded on the OTCQX or OTCQB markets pay a one-time application fee and annual or semi-annual fees. These fees are fixed and do not vary based on outstanding shares, market capitalization, market segment or otherwise. Companies on both markets also receive the DNS, Real-Time Level 2 Quote Display and access to the Blue Sky Monitoring Service. Pink companies may choose to subscribe separately to these services and pay fees on an annual or semi-annual basis.

Each of these services may be accessed through our www.otciq.com secure web portal.

Key Metrics

The table below presents key metrics for our OTC Link, Corporate Services and Market Data Licensing business lines for the three and nine months ended September 30, 2020 and 2019.

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2020	2019	2020	2019
OTC Link				
Number of active ATS subscribers ⁽¹⁾	82	90	82	90
Number of active ECN subscribers ⁽¹⁾	69	47	69	47
New Form 211 filings	196	77	342	260
<i>Number of securities quoted: ⁽¹⁾</i>				
OTCQX	490	484	490	484
OTCQB	921	964	921	964
Pink	9,970	9,161	9,970	9,161
Total	11,381	10,609	11,381	10,609
<i>Dollar volume traded (in thousands):</i>				
OTCQX	\$ 17,020,511	\$ 15,277,109	\$ 57,399,151	\$ 44,134,783
OTCQB	6,941,599	6,256,428	17,440,213	20,280,958
Pink	69,988,225	60,930,601	243,795,213	187,479,105
Total	\$ 93,950,335	\$ 82,464,138	\$ 318,634,577	\$ 251,894,847
<i>Dollar volume per security (in thousands):</i>				
OTCQX	\$ 34,736	\$ 31,564	\$ 117,141	\$ 91,188
OTCQB	7,537	6,490	18,936	21,038
Pink	7,020	6,651	24,453	20,465
Corporate Services				
Graduates to a national securities exchange	19	14	44	39
<i>Number of corporate clients: ⁽¹⁾⁽²⁾</i>				
OTCQX	441	436	441	436
OTCQB	874	915	874	915
Pink	722	749	722	749
Total	2,037	2,100	2,037	2,100
Market Data Licensing				
Market data professional users ⁽¹⁾	22,926	21,446	22,926	21,446
Market data non-professional users ⁽¹⁾	20,102	13,892	20,102	13,892
Market data compliance file users ⁽¹⁾	44	38	44	38

(1) Figures presented are at period end.

(2) Figures presented represent the number of companies subscribing to our services.

Financial Results

Consolidated Results from Operations

The table below presents comparative information from the Company's Consolidated Income Statements for the three and nine months ended September 30, 2020 and 2019.

(in thousands, except shares and per share data)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2020	2019	% change	2020	2019	% change
Gross revenues	\$ 17,747	\$ 15,756	13%	\$ 51,450	\$ 46,782	10%
Net revenues	17,058	15,154	13%	49,354	44,917	10%
Revenues less transaction-based expenses	16,444	14,935	10%	47,695	44,385	7%
Operating expenses	10,966	10,211	7%	32,937	31,212	6%
Income from operations	5,478	4,724	16%	14,758	13,173	12%
Operating profit margin	32.1%	31.2%		29.9%	29.3%	
Income before provision for income taxes	5,443	4,750	15%	14,749	13,259	11%
Net income	\$ 4,459	\$ 4,020	11%	\$ 12,550	\$ 11,134	13%
Diluted earnings per share	\$ 0.37	\$ 0.33	12%	\$ 1.05	\$ 0.93	13%
Weighted-average shares outstanding, diluted	11,620,153	11,691,106	(1%)	11,623,938	11,689,497	(1%)

Revenues and Transaction-Based Expenses

The following table shows OTC Markets Group's gross revenues by business line and consolidated revenues less transaction-based expenses for the three and nine months ended September 30, 2020 and 2019.

(in thousands)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2020	2019	% change	2020	2019	% change
OTC Link	\$ 3,816	\$ 2,989	28%	\$ 10,795	\$ 8,730	24%
Market data licensing	7,172	6,085	18%	20,775	18,233	14%
Corporate services	6,759	6,682	1%	19,880	19,819	-
Gross revenues	17,747	15,756	13%	51,450	46,782	10%
Redistribution fees and rebates	(689)	(602)	14%	(2,096)	(1,865)	12%
Net revenues	17,058	15,154	13%	49,354	44,917	10%
Transaction-based expenses	(614)	(219)	180%	(1,659)	(532)	212%
Revenues less transaction-based expenses	\$ 16,444	\$ 14,935	10%	\$ 47,695	\$ 44,385	7%

Gross Revenue increased by \$2.0 million, or 13%, and \$4.7 million, or 10%, in the third quarter and first nine months of 2020, respectively, compared to the same periods in 2019.

- OTC Link revenues increased \$827 thousand, or 28%, and \$2.1 million, or 24%, in the third quarter and first nine months of 2020, respectively. The increase for both the third quarter and first nine months of 2020 was primarily driven by a \$674 thousand, or 159%, and \$1.8 million, or 166%, increase in revenue from OTC Link ECN, respectively, with new subscribers and an active U.S. equities market environment driving an increase in volumes traded on the platform. The increases were further impacted by increases in revenue from messages, quotes and in QAP service fees on OTC Link ATS, a result of an increase in volumes traded. The increases for the third quarter and first nine months of 2020 were partially offset by a contraction in the active number of broker-dealers on the OTC Link ATS platform.
- Market Data Licensing revenues increased \$1.1 million, or 18%, and \$2.5 million, or 14%, in the third quarter and first nine months of 2020, respectively. The increases were primarily due to an increase of \$606 thousand and \$1.6 million in revenues from professional user licenses in the third quarter and first nine months of 2020, respectively, driven by increases in reported user counts and the impact of price increases introduced for 2020. The increases were further impacted by a \$268 thousand, or 64%, and \$298 thousand, or 23%, increase in revenues from

non-professional users in the third quarter and first nine months of 2020, respectively, driven by a surge in retail participation in the U.S equities markets. The increase in broker-dealer enterprise license revenue of \$150 thousand in the third quarter and \$393 thousand in the first nine months of 2020 was primarily a result of price increases effective January 1, 2020. These increases were partially offset by a decrease in revenue from advertising and end-of-day pricing services.

- Corporate Services revenues increased \$77 thousand, or 1%, and \$61 thousand, or flat, in the third quarter and first nine months of 2020, respectively. Revenue from the VIC business during each period increased by \$111 thousand, or 183%, and \$210 thousand, or 94%, respectively, driven by heightened demand for virtual events. Revenue from DNS increased by \$76 thousand and \$122 thousand in the third quarter and first nine months of 2020, respectively, as a result of price increases effective January 1, 2020. The increases were further impacted by an increase in revenues from our News Release service, resulting from an uptick in the number of press releases being issued by companies using that service. Those increases were partially offset by a \$113 thousand and \$475 thousand decrease in revenue from the OTCQB market for the third quarter and first nine months of 2020, respectively, a result of the decline in the number of companies on the market, due to a lower starting point at the beginning of 2020 as well as a marked slowdown in sales during the first quarter of 2020. Revenues from our OTCQX market declined by \$37 thousand, or 2%, a result of decreases in the average number of companies on the market during the third quarter of 2020. For the first nine months of 2020, revenues from our OTCQX market increased by \$96 thousand, or 1%, reflecting the higher number of companies on the market during the first quarter, partially offset by declines in the number of companies in subsequent quarters, a result of slowing sales in the first six months of 2020.
- Transaction-based expenses comprised of rebates paid to subscribers providing liquidity on our OTC Link ECN increased \$395 thousand, or 180%, and \$1.1 million, or 212%, in the third quarter and first nine months of 2020, respectively, largely in line with the increase in volumes traded on our OTC Link ECN.

Operating Expenses

The following table shows OTC Markets Group's consolidated operating expenses for the three and nine months ended September 30, 2020 and 2019.

(in thousands)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2020	2019	% change	2020	2019	% change
Compensation and benefits	\$ 7,052	\$ 6,533	8%	\$ 21,919	\$ 20,283	8%
IT Infrastructure and information services	1,642	1,650	-	4,730	4,792	(1%)
Professional and consulting fees	586	489	20%	1,801	1,423	27%
Marketing and advertising	138	256	(46%)	548	748	(27%)
Occupancy costs	877	569	54%	1,968	2,019	(3%)
Depreciation and amortization	441	384	15%	1,270	1,044	22%
General, administrative and other	230	330	(30%)	701	903	(22%)
Total operating expenses	<u>\$ 10,966</u>	<u>\$ 10,211</u>	7%	<u>\$ 32,937</u>	<u>\$ 31,212</u>	6%

Operating expenses increased \$755 thousand, or 7%, and \$1.7 million, or 6%, in the third quarter and first nine months of 2020, respectively, compared to the same periods in 2019.

- Compensation and benefits expenses increased \$519 thousand, or 8%, and \$1.6 million, or 8%, in the third quarter and first nine months of 2020, respectively. The increase in both periods was primarily a result of an increase in salary costs and cash bonus accrued, in line with increased average headcount and higher incentive award targets for 2020 based on improved earnings performance, as well as an increase in share-based compensation costs, in line with the increasing value of awards granted in respect of 2019. Period over period increases in the amount accrued and payable in respect of paid time-off also impacted the higher costs and are associated with higher than usual unused vacation hours. The overall increases were partially

offset by lower spending in respect of fringe benefits driven by the reduction in the number of employees working from our office locations. The increase during the third quarter was further impacted by an increase in sales commissions driven by stronger OTCQX and OTCQB sales, while for the nine months ended September 30, 2020, sales commissions were lower than the prior year period on the back of slower sales in the first six months of 2020. As a percentage of gross revenues, compensation and benefits costs represented 40% and 41% for the third quarter 2020 and 2019, respectively, and 43% for each of the nine months ended September 30, 2020 and 2019.

- IT infrastructure and information services expenses decreased \$8 thousand, or flat, and \$62 thousand, or 1%, in the third quarter and first nine months of 2020, respectively. The decreases during these periods were primarily related to a reduction in data center costs of \$115 thousand, or 31%, and \$215 thousand, or 22%, in the third quarter and first nine months of 2020, respectively, with non-recurring spend included in the prior year periods related to upgrades to infrastructure at our primary and secondary data centers. The decreases were further impacted by a reduction in hardware maintenance costs related to assets disposed of during our office move and data center upgrades. These decreases were partially offset by an increase in spend related to system security enhancements, development and support for our OTC Link ECN, as well as additional data licensing costs related to the launch of our Blue Sky Data product.
- Professional and consulting fees increased \$97 thousand, or 20%, and \$378 thousand, or 27%, in the third quarter and first nine months of 2020, respectively. The increases in both periods were related to higher OTC Link ECN clearing costs, in line with the higher number of transactions executed, and an increase in support costs related to our VIC business, in line with an increase in the number of participating companies. Further contributing to the overall increase were legal fees incurred related to certain non-material litigation matters and legal fees related to CAT compliance, as well as advisory fees incurred in relation to the evaluation of a potential acquisition during the first nine months of 2020.
- Marketing and advertising expenses decreased \$118 thousand, or 46%, and \$200 thousand, or 27%, in the third quarter and first nine months of 2020, respectively, primarily due to lower travel and sponsorship spend in the context of the COVID-19 pandemic.
- Occupancy fees increased \$308 thousand, or 54%, in the third quarter, and decreased \$51 thousand, or 3%, in the first nine months of 2020. The increase in the third quarter was primarily due to certain building charges retroactively billed to us by our sublandlord. The decrease in the first nine months of 2020 was impacted by overlapping rent expense incurred in the first quarter of 2019.
- Depreciation and amortization increased \$57 thousand, or 15%, and \$226 thousand, or 22%, in the third quarter and first nine months of 2020, respectively. The increase during these periods was primarily due to depreciation related to our acquisition of Qaravan Inc., our data center equipment refresh, as well as depreciation expense related to capital investment made at the Company's corporate headquarters.
- General, administrative and other fees decreased \$100 thousand, or 30%, and \$202 thousand, or 22%, in the third quarter and first nine months of 2020, respectively. The decreases were primarily driven by project management and other one-time expenses incurred during 2019 related to our office move and data center refresh project.

Income from Operations and Operating Profit Margin

(in thousands)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2020	2019	% change	2020	2019	% change
Income from operations	\$ 5,478	\$ 4,724	16%	\$ 14,758	\$ 13,173	12%
Operating profit margin	32.1%	31.2%	3%	29.9%	29.3%	2%

Income from operations increased \$754 thousand, or 16%, in the third quarter, and \$1.6 million, or 12%, in the first nine months of 2020, respectively, compared to the same periods in 2019. The Company's operating profit margin expanded during each of the three and nine months ended September 30, 2020 primarily as a result of revenue growth outpacing increases in our operating expenses.

Net Income

(in thousands, except shares and per share data)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2020	2019	% change	2020	2019	% change
Income before provision for income taxes	\$ 5,443	\$ 4,750	15%	\$ 14,749	\$ 13,259	11%
Provision for income taxes	984	730	35%	2,199	2,125	3%
Effective income tax rate	18.1%	15.4%	18%	14.9%	16.0%	(7%)
Net income	\$ 4,459	\$ 4,020	11%	\$ 12,550	\$ 11,134	13%

Net income increased \$439 thousand, or 11%, and \$1.4 million, or 13%, in the third quarter and first nine months of 2020, respectively, compared to the same periods in 2019. The increase in net income during the third quarter was due to the increase in income from operations, partially offset by an increase in the Company's effective tax rate, a result of a decline in the amount of excess tax benefits from share-based compensation. The increase in net income during the first nine months of 2020 was due to the increase in income from operations and a decrease in the Company's effective tax rate. The decrease in the Company's effective tax rate for the first nine months was primary a result of the reversal of previously recorded uncertain state tax expenses. These reversals were premised on the Company being accepted into the Voluntary Disclosure Agreement ("VDA") programs of certain U.S. states. The release of tax expense reserves in respect of years prior to the VDA period had the effect of decreasing the Company's effective tax rate for the first nine months of 2020 by approximately 4%. The reduction in our tax expense that resulted from the release of these reserves, was partially offset by a reduction in the amount of excess tax benefits from share-based compensation.

Liquidity and Capital Resources

Our liquidity is primarily derived from our working capital and cash flows from operations. We require cash to support our current operating levels, fund strategic growth initiatives, develop new services and enhance existing services, make capital expenditures, fund dividends, and pay federal, state and local corporate taxes. We expect that our operations will provide sufficient cash to fund our strategic initiatives. We have no outstanding debt and \$1.5 million available for business operations under our line of credit, which gives us additional flexibility in managing our cash flows (see *Line of Credit*, below).

Cash available for operations

The following table presents cash available for operations, which consists of cash as of September 30, 2020 and December 31, 2019.

(in thousands)	September 30,	December 31,	% change
	2020	2019	
Cash available for operations	\$ 28,647	\$ 28,217	2%

Cash available for operations increased \$430 thousand to \$28.6 million as of September 30, 2020, from \$28.2 million as of December 31, 2019. The Company generated \$10.3 million of cash from operations during the first nine months of 2020. The Company utilized operating cashflows and cash on hand to

fund \$884 thousand in IT infrastructure enhancements, \$5.2 million in quarterly dividends and \$3.5 million in respect of repurchases of our common stock.

Cash Flow

The following table presents sources and uses of cash flows during the nine months ended September 30, 2020 and 2019.

	Nine Months Ended September 30,		
	2020	2019	% change
Net cash provided by operating activities	\$ 10,321	\$ 9,403	10%
Net cash used in investing activities	(884)	(5,350)	(83%)
Net cash used in financing activities	(9,007)	(7,225)	25%
Net Increase (decrease) in cash and restricted cash	\$ 430	\$ (3,172)	114%

Cash provided by operating activities

Cash provided by operating activities for the nine months ended September 30, 2020 was \$10.3 million, as compared to \$9.4 million during the same prior year period. Cash provided by operating activities for the first nine months of 2020 consisted of net income of \$12.6 million, adjusted for non-cash items of \$3.8 million and changes in assets and liabilities of \$6.0 million. Adjustments for noncash items to net income primarily consisted of depreciation and amortization expense of \$1.3 million and stock-based compensation expenses of \$2.3 million. The increase in cash provided by operating activities during the first nine months of 2020, as compared to the same prior year period, was primarily the result of an increase in net income and in the amount of non-cash items, partially offset by payments made to settle with certain states pursuant to our entering into the relevant VDA programs of those states as well as the timing of prepaid expenses.

Cash used in investing activities

Cash used in investing activities during the nine months ended September 30, 2020 was \$884 thousand, as compared to \$5.4 million during the same prior year period. The cash used in investing activities for the first nine months of 2020 primarily related to purchases of IT equipment for our data centers, while cash used in the prior year period consisted of spend related to significant leasehold improvements and IT infrastructure investment for our new corporate headquarters, the acquisition of Qaravan Inc., as well as spend related to upgrades the infrastructure at our primary and secondary data centers.

Cash used in financing activities

Cash used in financing activities during the nine months ended September 30, 2020 was \$9.0 million, as compared to \$7.2 million during the same prior year period. The cash used in both periods was primarily related to dividends paid to holders of our Class A common stock and to repurchases of our Common Stock. The increase in the use of cash in the nine months ended September 30, 2020 was related to an increase in the amount of treasury stock purchased.

Capital resources and working capital

The Company's working capital as at September 30, 2020 was \$15.8 million, an increase of \$6.2 million, or 65%, from \$9.6 million as at December 31, 2019. Working capital includes certain non-operating assets and liabilities, such as prepaid income taxes, deferred tax assets and liabilities, and income taxes payable. The increase in working capital during the nine months ended September 30, 2020 was primarily attributable to a decrease in the amount of deferred revenue, resulting from revenue recognition for the nine months ended September 30, 2020 in respect of subscription payments received in connection with our OTCQX market for the 2020 calendar year service period and was also impacted by an increase in cash available for operations.

Line of Credit

On July 7, 2012, the Company obtained a line of credit with JPMorgan Chase (the “Line of Credit”) that made up to \$1.5 million available for business operations. The effective interest rate of the Line of Credit is benchmarked to the London Inter Bank Offered Rate (“LIBOR”). The Line of Credit has been extended through June 25, 2021. We have not drawn funds on the Line of Credit. Under the terms of the Line of Credit, we agreed to fulfill certain affirmative and negative covenants and other specified terms. At September 30, 2020, the Company was in compliance with all of the covenants and other terms of the Line of Credit.

Operating Leases

We have entered into operating lease agreements for our offices and recognize rent expense on a straight-line basis over the terms of the leases.

Off-Balance Sheet Arrangements

None.

Item 5. Legal proceedings

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on our business, financial condition or operations. Our securities are not a party to any past or pending trading suspensions by a securities regulator.

Item 6. Defaults upon senior securities

None.

Item 7. Other information

None.

Item 8. Exhibits

Exhibit 3.1 Unaudited interim condensed consolidated financial statements

Exhibit 9.1 Certification of principal executive officer

Exhibit 9.2 Certification of principal financial officer

Item 9. Certifications

Current certifications are filed as Exhibits 9.1 and 9.2 to this Quarterly Report.

Exhibit 3.1

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(in thousands, except share information)
(Unaudited)

	September 30, 2020	December 31, 2019
Assets		
Current assets		
Cash	\$ 28,647	\$ 28,217
Accounts receivable, net of allowance for doubtful accounts of \$165 and \$168	5,802	5,157
Prepaid income taxes	568	318
Prepaid expenses and other current assets	1,417	1,338
Total current assets	36,434	35,030
Property and equipment, net	5,666	6,418
Operating lease right-of-use assets	15,143	16,018
Deferred tax assets, net	214	771
Goodwill	251	251
Intangible assets, net	40	40
Long-term restricted cash	1,561	1,561
Other assets	312	266
Total Assets	\$ 59,621	\$ 60,355
Liabilities and stockholders' equity		
Current liabilities		
Accounts payable	\$ 718	\$ 321
Accrued expenses and other current liabilities	8,772	9,154
Income taxes payable	183	99
Deferred revenue	10,922	15,815
Total current liabilities	20,595	25,389
Income tax reserve	757	1,764
Operating lease liabilities	14,708	15,529
Total Liabilities	36,060	42,682
Commitments and contingencies		
Stockholders' equity		
Common stock - par value \$0.01 per share		
Class A - 14,000,000 authorized, 12,305,638 issued, 11,669,004 outstanding at		
September 30, 2020; 12,189,022 issued, 11,655,326 outstanding at December 31, 2019	123	122
Additional paid-in capital	20,146	18,042
Retained earnings	15,409	8,106
Treasury stock - 636,634 shares at September 30, 2020 and 533,696 shares at December 31, 2019	(12,117)	(8,597)
Total Stockholders' Equity	23,561	17,673
Total Liabilities and Stockholders' Equity	\$ 59,621	\$ 60,355

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF INCOME
(in thousands, except per share information)
(Unaudited)

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2020	2019	2020	2019
Gross revenues	\$ 17,747	\$ 15,756	\$ 51,450	\$ 46,782
Redistribution fees and rebates	(689)	(602)	(2,096)	(1,865)
Net revenues	17,058	15,154	49,354	44,917
Transaction-based expenses	(614)	(219)	(1,659)	(532)
Revenues less transaction-based expenses	16,444	14,935	47,695	44,385
Operating expenses				
Compensation and benefits	7,052	6,533	21,919	20,283
IT Infrastructure and information services	1,642	1,650	4,730	4,792
Professional and consulting fees	586	489	1,801	1,423
Marketing and advertising	138	256	548	748
Occupancy costs	877	569	1,968	2,019
Depreciation and amortization	441	384	1,270	1,044
General, administrative and other	230	330	701	903
Total operating expenses	10,966	10,211	32,937	31,212
Income from operations	5,478	4,724	14,758	13,173
Other income (expense)				
Interest income	-	26	19	84
Other income(expense), net	(35)	-	(28)	2
Income before provision for income taxes	5,443	4,750	14,749	13,259
Provision for income taxes	984	730	2,199	2,125
Net income	\$ 4,459	\$ 4,020	\$ 12,550	\$ 11,134
Net income per share				
Basic	0.38	\$ 0.35	\$ 1.07	\$ 0.96
Diluted	0.37	\$ 0.33	\$ 1.05	\$ 0.93

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(in thousands)
(Unaudited)

	<u>Nine Months Ended September 30,</u>	
	<u>2020</u>	<u>2019</u>
Beginning balance	\$ 17,673	\$ 16,409
Increase from net income	12,550	11,134
Dividends paid	(5,247)	(5,236)
Stock-based compensation	2,345	2,062
Issuance of restricted and common shares, net	(240)	(599)
Issuance of common stock for the acquisition of Qaravan	-	272
Purchases of treasury stock	(3,520)	(1,390)
Ending balance	\$ 23,561	\$ 22,652

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(in thousands)
(Unaudited)

	Nine Months Ended September 30,	
	2020	2019
Cash flows from operating activities		
Net income	\$ 12,550	\$ 11,134
Adjustments to reconcile net income to net cash provided by operating activities		
Depreciation and amortization	1,270	1,044
Provision for bad debts	(11)	83
Stock-based compensation	2,345	2,062
Excess tax benefits related to stock-based compensation	(391)	(682)
Deferred income taxes	557	309
Loss on disposal of fixed assets	-	14
Changes in assets and liabilities:		
Accounts receivable	(634)	107
Prepaid expenses and other current assets	(79)	725
Prepaid income taxes	(250)	(794)
Accounts payable	397	(266)
Accrued expenses and other current liabilities	(70)	(495)
Income tax payable	475	683
Income tax reserve	(1,007)	266
Deferred revenue	(4,893)	(5,235)
Other liabilities	62	448
Net cash provided by operating activities	10,321	9,403
Cash flows from investing activities		
Purchases of property and equipment	(884)	(4,686)
Acquisition of Qaravan assets	-	(664)
Net cash used in investing activities	(884)	(5,350)
Cash flows from financing activities		
Dividends paid	(5,247)	(5,236)
Issuance of restricted and common shares, net	(240)	(599)
Purchases of treasury stock	(3,520)	(1,390)
Net cash used in financing activities	(9,007)	(7,225)
Net decrease in cash and restricted cash	430	(3,172)
Cash and restricted cash at beginning of period	29,778	30,534
Cash and restricted cash at end of period	<u>\$ 30,208</u>	<u>\$ 27,362</u>
Reconciliation of cash and restricted cash:		
Cash	\$ 28,647	\$ 25,802
Long-term restricted cash	1,561	1,560
Total Cash and restricted cash	<u>\$ 30,208</u>	<u>\$ 27,362</u>
Supplemental Disclosure of Cash Flow Information		
Income taxes paid, net of refund	\$ 2,815	\$ 2,344
Non-cash investing activities:		
Property and equipment included in accounts payable or accrued expenses	61	120
Common stock issued for the acquisition of Qaravan	-	272

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements

(in thousands, except share and per share information)

Note 1. Description of Business

Overview

OTC Markets Group Inc. (“OTC Markets Group” or the “Company”) (OTCQX: OTCM) operates the OTCQX[®] Best Market, the OTCQB[®] Venture Market, and the Pink[®] Open Market for 11,000 U.S. and global securities. Through OTC Link[®] ATS and OTC Link ECN, each a Securities and Exchange Commission (“SEC”) registered Alternative Trading System (“ATS”) operated by the Company’s wholly owned subsidiary OTC Link LLC, a Financial Industry Regulatory Authority, Inc. (“FINRA”) and SEC registered broker-dealer, the Company enables investors to easily trade through the broker of their choice and empowers companies to improve the quality and availability of information for their investors.

The Company has three business lines: OTC Link, Market Data Licensing and Corporate Services.

- OTC Link— OTC Link LLC operates two ATSs, OTC Link ATS and OTC Link ECN, which provide trading services to FINRA member broker-dealer subscribers.
- Market Data Licensing – OTC Markets Group is a central source of real-time data, delayed and historical market data, company financial data, security master data, corporate reference data and compliance data for securities traded on the OTCQX, OTCQB, and Pink markets. The Market Data Licensing business line provides investors, traders, institutions, and regulators with a suite of enterprise and user market data licenses, offered via direct or extranet connectivity, web interfaces, through third party market data redistributors or order management systems (OMSs).
- Corporate Services – OTC Markets Group operates the OTCQX Best Market and the OTCQB Venture Market and offers companies a suite of services that are designed to create a better informational experience for investors by facilitating public disclosure and communication with investors, promoting greater transparency and allowing companies to demonstrate regulatory compliance and mitigate market risk. These services include the OTC Disclosure & News Service[®], Virtual Investor Conferences[®], Real-Time Level 2 Quote Display and Blue Sky Monitoring Service.

Corporate Form

OTC Markets Group Inc. is a Delaware corporation. The Company is a “C” corporation for federal, state, and local income tax purposes.

Note 2. Summary of Significant Accounting Policies

Basis of Presentation

The accompanying unaudited interim condensed consolidated financial statements are prepared in accordance with generally accepted accounting principles in the United States of America (“U.S. GAAP”) and include the accounts of the Company and its wholly-owned subsidiaries, OTC Link LLC, OTC Markets Group International Ltd and Qaravan[®] Inc., and reflect all adjustments, consisting of normal recurring adjustments, that are, in the opinion of management, necessary for a fair statement of the results for the period. All intercompany transactions have been eliminated in consolidation.

Management has assessed the segment reporting standard, analyzed how the chief operating decision maker (the Chief Executive Officer) manages the businesses, assesses performance and allocates resources; and has concluded that the Company has one reportable segment. Refer to Note 2, *Summary of Significant Accounting Policies*, from the Company’s Annual Report for the year ended December 31, 2019 for a full discussion of significant accounting policies.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

The interim condensed consolidated financial statements are unaudited and should be read in conjunction with the audited financial statements of the Company as of and for the year ended December 31, 2019. Operating results for the three and nine months ended September 30, 2020 are not necessarily indicative of the results that may be expected for the year ending December 31, 2020.

Use of Estimates

The preparation of these unaudited interim condensed consolidated financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities as of the date of the consolidated financial statements, and the reported amounts of revenue and expenses during the reporting periods. Estimates included in the consolidated financial statements include allowance for doubtful accounts, certain accrued expenses, stock-based compensation expense, the incremental borrowing rate used to calculate the present value of the operating lease liabilities, income tax reserve and provision for income taxes. Actual results could differ from those estimates. As the impact of the COVID-19 pandemic continues to unfold and additional information becomes available, some of our estimates and assumptions may change in future periods.

Recently Adopted Accounting Standards

In June 2016, the Financial Accounting Standards Board ("FASB") issued ASU 2016-13, *Measurement of Credit Losses on Financial Instruments*, which amends previously issued guidance regarding the impairment of financial instruments by creating an impairment model that is based on expected losses rather than incurred losses. ASU 2016-13 is effective for annual periods beginning after December 15, 2019. On January 1, 2020, the Company adopted the standard using the modified retrospective approach permitted by the standard. The adoption had no material impact on our Consolidated Statements of Income.

In August 2018, the FASB issued ASU 2018-13, *Fair Value Measurement (Topic 820): Disclosure Framework—Changes to the Disclosure Requirements for Fair Value Measurement*, which amends Topic 820 to modify, remove, and add certain fair value measurement disclosure requirements. ASU 2018-13 is effective for interim and annual periods beginning after December 15, 2019, with early adoption permitted. The Company adopted the standard effective January 1, 2020. The adoption had no material impact on the consolidated financial statements.

In August 2018, the FASB issued ASU 2018-15, *Intangibles—Goodwill and Other—Internal-Use Software (Subtopic 350-40): Customer's Accounting for Implementation Costs Incurred in a Cloud Computing Arrangement That Is a Service Contract*, which clarifies the accounting for implementation costs in cloud computing arrangements. ASU 2018-15 requires a customer in a cloud computing arrangement that is a service contract to follow the internal-use software guidance under Subtopic 350-40 to determine which implementation costs to capitalize as assets. ASU 2018-15 is effective for interim and annual periods beginning after December 15, 2019, with early adoption permitted. On January 1, 2020, the Company adopted the standard using the prospective approach to all implementation costs incurred after its adoption. The adoption had no material impact on the consolidated financial statements.

Recently Issued Accounting Standards Not Yet Adopted

There are no applicable material accounting pronouncements that have been issued but are not yet adopted.

Note 3. Revenue Recognition

Substantially all of our revenues are derived from contracts with customers. Revenues are recognized when control of the promised goods or services is transferred to our customers, in an amount that

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

reflects the consideration we expect to be entitled to, in exchange for those goods or services. In accordance with Topic 606, we evaluate our contracts with customers based on a five-step methodology. We: (1) Identify the contract with the customer; (2) Identify the performance obligations under the contract; (3) Determine the transaction price; (4) Allocate the transaction price to separate performance obligations; and (5) Recognize revenue when each performance obligation is satisfied. Certain of our ancillary Market Data Licensing and Corporate Services offerings, including news release and advertising services, are usage-based and are delivered at a point in time. Accordingly, we recognize revenue upon delivery of the service in line with the contractual agreement. Neither represent a material source of revenues.

OTC Link

OTC Link LLC operates two ATSS: OTC Link ATS and OTC Link ECN. Broker-dealers pay monthly subscription fees that permit access to the trading system, including the OTC Dealer[®] application and related support and updates, if applicable, during the contract term. Fees for such access are based on the number of authorized users per subscriber and are calculated based on a tiered pricing arrangement. These fees are invoiced monthly and in advance of the monthly service period. The Company satisfies its performance obligations over the contract term and records revenue from these fees ratably over the month, with the unrealized portion recorded as deferred revenue on the Company's Balance Sheet. The Company pays rebates to certain resellers of OTC Link ATS services. These are invoiced monthly based on the fixed rate specified in the applicable contract and recorded as a reduction of gross revenues.

In addition to the before mentioned monthly access fees, broker-dealer subscribers to OTC Link ATS pay usage-based fees to publish quotes and deliver trade messages electronically to counterparties. Those fees are recognized at the point in time when the performance obligation, the publication of the quote or delivery of the message, is satisfied. OTC Link ECN generates revenues based on share volume executed on the ECN matching platform. Broker-dealer counterparties pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity. These fees are invoiced monthly, in arrears and are due upon receipt. The Company recognizes transactional based revenue earned upon the execution of a trade, when the Company's obligations are substantially met. Similarly, payments made to subscribers providing liquidity are recognized upon execution and are recorded as transaction-based expenses within the Consolidated Statements of Income.

Market Data Licensing

Market Data Licensing generates revenues by providing our subscribers with continuous access to the market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines. Subscribers pay monthly fees to access this information priced at per enterprise or per subscriber rates. Market Data Licensing revenues are recognized ratably over the term of the contract period, beginning on the date on which the data is made available to the customer, as our continuing performance obligations are met.

The majority of Market Data Licensing revenues result from sales through redistributors, some of whom earn redistribution fees based on a contractual fixed rate. These fees are invoiced monthly based on the contractual period and are recognized as a reduction of gross revenues. The vast majority of our redistribution fees and rebates are related to these arrangements with market data redistributors.

Corporate Services

Corporate Services generates revenues from the OTCQX Best Market and OTCQB Venture Market and from a suite of other services. Issuers pay annual or semi-annual subscription fees upfront to have their securities traded on the OTCQX or OTCQB markets and to subscribe to our various other services. We recognize these revenues ratably over time based on the subscription period as the performance

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

obligations are met and the transfer of services occurs. Issuers pay one-time non-refundable application fees. These fees are not related to distinct performance obligations and are recognized ratably over the contractual service period, which is one year or shorter.

The following tables present our revenues disaggregated by timing of revenue recognition:

	Three Months Ended September 30,					
	2020			2019		
	Point in Time	Over Time	Total	Point in Time	Over Time	Total
OTC Link	\$ 2,865	\$ 951	\$ 3,816	\$ 1,987	\$ 1,002	\$ 2,989
Market data licensing	34	7,138	7,172	45	6,040	6,085
Corporate services	89	6,670	6,759	54	6,628	6,682
Gross revenues	2,988	14,759	17,747	2,086	13,670	15,756
Redistribution fees and rebates	(12)	(677)	(689)	(18)	(584)	(602)
Net revenues	2,976	14,082	17,058	2,068	13,086	15,154
Transaction-based expenses	(614)	-	(614)	(219)	-	(219)
Revenues less transaction-based expenses	<u>\$ 2,362</u>	<u>\$ 14,082</u>	<u>\$ 16,444</u>	<u>\$ 1,849</u>	<u>\$ 13,086</u>	<u>\$ 14,935</u>

	Nine Months Ended September 30,					
	2020			2019		
	Point in Time	Over Time	Total	Point in Time	Over Time	Total
OTC Link	\$ 7,925	\$ 2,870	\$ 10,795	\$ 5,717	\$ 3,013	\$ 8,730
Market data licensing	91	20,684	20,775	150	18,083	18,233
Corporate services	236	19,644	19,880	152	19,667	19,819
Gross revenues	8,252	43,198	51,450	6,019	40,763	46,782
Redistribution fees and rebates	(34)	(2,061)	(2,095)	(58)	(1,807)	(1,865)
Net revenues	8,218	41,137	49,355	5,961	38,956	44,917
Transaction-based expenses	(1,659)	-	(1,659)	(532)	-	(532)
Revenues less transaction-based expenses	<u>\$ 6,559</u>	<u>\$ 41,137</u>	<u>\$ 47,696</u>	<u>\$ 5,429</u>	<u>\$ 38,956</u>	<u>\$ 44,385</u>

The following tables present our revenues disaggregated by geography:

	Three Months Ended September 30,					
	2020			2019		
	U.S	International	Total	U.S	International	Total
OTC Link	\$ 3,816	\$ -	\$ 3,816	\$ 2,989	\$ -	\$ 2,989
Market data licensing	5,800	1,372	7,172	5,034	1,051	6,085
Corporate services	3,639	3,120	6,759	3,718	2,964	6,682
Gross revenues	13,255	4,492	17,747	11,741	4,015	15,756
Redistribution fees and rebates	(620)	(69)	(689)	(549)	(53)	(602)
Net revenues	12,635	4,423	17,058	11,192	3,962	15,154
Transaction-based expenses	(614)	-	(614)	(219)	-	(219)
Revenues less transaction-based expenses	<u>\$ 12,021</u>	<u>\$ 4,423</u>	<u>\$ 16,444</u>	<u>\$ 10,973</u>	<u>\$ 3,962</u>	<u>\$ 14,935</u>

	Nine Months Ended September 30,					
	2020			2019		
	U.S	International	Total	U.S	International	Total
OTC Link	\$ 10,795	\$ -	\$ 10,795	\$ 8,730	\$ -	\$ 8,730
Market data licensing	16,917	3,858	20,775	15,082	3,151	18,233
Corporate services	10,923	8,957	19,880	10,988	8,831	19,819
Gross revenues	38,635	12,815	51,450	34,800	11,982	46,782
Redistribution fees and rebates	(1,888)	(207)	(2,095)	(1,708)	(157)	(1,865)
Net revenues	36,747	12,608	49,355	33,092	11,825	44,917
Transaction-based expenses	(1,659)	-	(1,659)	(532)	-	(532)
Revenues less transaction-based expenses	<u>\$ 35,088</u>	<u>\$ 12,608</u>	<u>\$ 47,696</u>	<u>\$ 32,560</u>	<u>\$ 11,825</u>	<u>\$ 44,385</u>

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Accounts Receivable

As of September 30, 2020 and December 31, 2019, accounts receivable net of allowance for doubtful accounts were \$5.8 million and \$5.2 million, respectively. The allowance for doubtful accounts reflects our best estimate of probable losses inherent in the accounts receivable balance. The Company determines the allowance based on historical experience, the age of the accounts receivable balance, specific account information and other currently available information that may affect our customers' ability to pay.

Deferred Revenue

Deferred revenue primarily represents our contractual performance obligations related to annual and semi-annual Corporate Services subscription fees, as well as monthly Market Data Licensing and OTC Link license subscription fees. The following table presents the changes in deferred revenue during the first nine months ended September 30, 2020 and 2019:

	<u>Nine Months Ended September 30.</u>	
	<u>2020</u>	<u>2019</u>
Balance at beginning of period	\$ 15,815	\$ 16,070
Net changes	(4,893)	(5,235)
Balance at end of period	<u>10,922</u>	<u>10,835</u>

During the first nine months ended September 30, 2020 and 2019, we recognized \$13.5 million and \$13.7 million of revenue, respectively, that was included in the deferred revenue balance at the beginning of each year.

Payment Terms

Our payment terms vary by business line and the products or services offered and range from due upon receipt to net 45 days. For certain products, we require payment before services are rendered.

Note 4. Concentrations and Uncertainties

During both the three and nine months ended September 30, 2020 and 2019, Market Data Licensing revenues earned through one market data redistributor amounted to approximately 10% of gross revenues. As of September 30, 2020 and 2019, accounts receivable from that same redistributor amounted to 25% of accounts receivable.

Note 5. Fair Value of Financial Instruments

The Company accounts for certain financial instruments at fair value, in accordance with the provisions of the standard for fair value measurement, which utilizes a three-tier hierarchy to determine the fair value of financial assets and liabilities based on the quality of observable inputs and enhances disclosure requirements for fair value measurement. The three tiers are:

- Level 1 – Quoted prices (unadjusted) for identical assets or liabilities in an active market;
- Level 2 – Other inputs that are directly or indirectly observable in the market; and
- Level 3 – Unobservable inputs that are supported by little or no market activity.

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date and in the principal or most advantageous market for that asset or liability.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Assets and liabilities on the unaudited interim condensed Consolidated Balance Sheets that are measured at carrying value, which approximates fair value due to the short-term nature of these balances, include prepaid expenses, accrued expenses and other current liabilities and deferred revenue. These balances are classified as Level 1 and Level 2 in the fair value hierarchy.

Note 6. Property and Equipment

Property and equipment consisted of the following:

	September 30, 2020	December 31, 2019	Estimated useful life (years)
Computer software	\$ 2,627	\$ 2,499	2 - 3
Computer equipment	5,254	5,309	3 - 5
Furniture and fixtures	691	691	5 - 7
Leasehold improvements	2,804	2,804	Term of lease
Total property and equipment	11,376	11,303	
Accumulated depreciation and amortization	(5,710)	(4,885)	
Total property and equipment, net	\$ 5,666	\$ 6,418	

Depreciation and amortization on property and equipment included in the unaudited interim condensed Consolidated Statements of Income amounted to \$441 and \$1,270 for the three and nine months ended September 30, 2020, respectively, and \$384 and \$1,023 during the comparable three and nine months in 2019, respectively.

Computer software includes approximately \$84 and \$236 in unamortized website development costs, as of September 30, 2020 and December 31, 2019, respectively.

Note 7. Leases

The Company has two non-cancelable operating leases. One is for office space at 300 Vesey Street, New York, NY that was executed in October 2018 and expires on December 30, 2031. The other is for office space at 100 M Street SE, Washington, D.C. that was amended in May 2016 and expires on June 30, 2021. These operating leases are recorded as operating lease right-of-use assets on the Company's Consolidated Balance Sheet as of September 30, 2020 and represent the Company's right to use of the underlying asset during the lease term. The Company's obligation in respect of future payments due under the leases is included in accrued expenses, other current liabilities and in the operating lease liabilities section on the Company's Consolidated Balance Sheet as of September 30, 2020.

The components of lease expense were as follows:

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2020	2019	2020	2019
Operating Lease cost	\$ 497	\$ 497	\$ 1,491	\$ 1,491
Short-term Lease cost	4	4	13	272
Total lease cost	\$ 501	\$ 501	\$ 1,504	\$ 1,764

Supplemental cash flow information related to leases was as follows:

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2020	2019	2020	2019
Cash Paid for operating lease liabilities	\$ 498	\$ 496	\$ 1,490	\$ 812
Right-of-use assets obtained in exchange for operating lease obligations	-	-	-	-

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Supplemental balance sheet information related to leases was as follows:

	September 30, 2020	December 31, 2019
Operating lease right-of use assets	\$ 15,143	\$ 16,018
Other current liabilities	1,885	1,939
Operating lease liabilities	<u>14,708</u>	<u>15,529</u>
Total operating lease liabilities	<u>16,593</u>	<u>17,468</u>
Weighted-average remaining lease term	11 Years	12 Years
Weighted-average discount rate	4.8%	4.8%

Maturities of lease liabilities were as follows:

Remainder of 2020	\$ 498
2021	1,875
2022	1,759
2023	1,759
2024	1,875
Thereafter	13,919
Total lease payments	<u>21,685</u>
Less imputed interest	(5,092)
Total	<u>\$ 16,593</u>

As of December 31, 2019, maturities of lease liabilities were as follows:

2020	\$ 1,988
2021	1,875
2022	1,759
2023	1,759
2024	1,875
Thereafter	13,920
Total lease payments	<u>23,176</u>
Less imputed interest	(5,708)
Total	<u>\$ 17,468</u>

Note 8. Goodwill and Intangible Assets

Goodwill and intangible assets consisted of the following:

	September 30, 2020	December 31, 2019	Estimated useful life (years)
Goodwill	<u>\$ 251</u>	<u>\$ 251</u>	Indefinite
Intangible assets:			
Website	\$ 100	\$ 100	2
Subscription services	150	150	8-15
Distributor relations	27	27	15
Intellectual property	40	40	Indefinite
Total intangible assets	<u>317</u>	<u>317</u>	
Accumulated amortization	<u>(277)</u>	<u>(277)</u>	
Intangible assets, net	<u>\$ 40</u>	<u>\$ 40</u>	

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Amortization expense for finite-lived intangible assets was \$0 for the three and nine months ended September 30, 2020, respectively, and \$0 and \$21 for the three and nine months ended September 30, 2019, respectively. No impairment charges were recorded to goodwill or intangible assets during the three and nine months ended September 30, 2020 or 2019.

Note 9. Accrued Expenses and Other Current Liabilities

Accrued expenses and other current liabilities consisted of the following:

	September 30, 2020	December 31, 2019
Payroll and employee withholdings	\$ 5,345	\$ 5,506
Accrued operating expenses	1,542	1,709
Current operating lease liabilities	1,885	1,939
Total accrued expenses and other current liabilities	<u>\$ 8,772</u>	<u>\$ 9,154</u>

Payroll and employee withholdings primarily consisted of accrued discretionary bonus, discretionary employer 401(k) contribution, vacation and sales commission. The balance of payroll and employee withholdings as of December 31, 2019 represents a full year of accrual, which was paid out in February 2020.

Note 10. Stock-Based Compensation

OTC Markets Group grants stock options and restricted stock awards ("RSAs") to employees and directors. The grant date fair value of each stock option is estimated using the Black-Scholes option pricing model and is amortized into compensation expense on a straight-line basis over the requisite service period, which is generally the vesting period. The grant date fair value of each RSA is based on the closing stock price on the day prior to the grant date. These charges are included in compensation and benefits expense and professional and consulting fees on the unaudited interim Condensed Consolidated Statements of Income.

A summary of the Company's option activity for the nine months ended September 30, 2020 is as follows:

(in thousands, except W/A exercise price)	Stock options	Weighted-average exercise price	Aggregate intrinsic value	Remaining contractual term (years)
Outstanding, January 1, 2020	662	\$ 21.17	\$ 9,186	6.56
Granted	62	32.01	22	
Exercised	(58)	16.03	851	
Outstanding, September 30, 2020	666	\$ 22.62	\$ 5,280	6.25
Exercisable, September 30, 2020	338	\$ 16.30	\$ 4,625	4.38

The Company recognized compensation expense related to stock options, net of estimated forfeitures, of \$147 and \$144 for the three months ended September 30, 2020 and 2019, respectively, and \$468 and \$461 for the nine months ended September 30, 2020 and 2019, respectively. Management has estimated forfeiture rates of 5% for stock options granted to management and 23% for stock options granted to other employees.

At September 30, 2020, unrecognized compensation cost related to non-vested stock options was \$1.3 million, which will be recognized over approximately 3.4 years.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

A summary of the Company's restricted stock activity for the nine months ended September 30, 2020 is as follows:

(in thousands, except W/A fair value)	Restricted stock	Weighted-average fair value	Aggregate intrinsic value
Outstanding, January 1, 2020	276	\$ 24.57	\$ 9,669
Granted	97	33.95	3,322
Vested	(93)	22.36	3,175
Outstanding, September 30, 2020	280	\$ 28.55	\$ 8,329

The Company recognized compensation expense related to RSAs, net of estimated forfeitures, of \$532 and \$435 for the three months ended September 30, 2020 and 2019, respectively, and \$1,764 and \$1,489 for the nine months ended September 30, 2020 and 2019, respectively. Management has estimated forfeiture rates of 9% for RSAs granted to management and 15% for RSAs granted to other employees. In addition, the Company also recognized professional fees of \$38 for each of the three months ended September 30, 2020 and 2019, and \$113 for each of the nine months ended September 30, 2020 and 2019, related to the issuance of RSAs to the Board of Directors.

At September 30, 2020, unrecognized compensation cost related to non-vested RSAs totaled \$5.7 million, which will be recognized over approximately 3.3 years.

Note 11. Contingencies

Partial Self-Insurance Reserves

Effective January 1, 2018, the Company switched from a fully insured employee health insurance policy to a partially self-insured plan. Under the new plan, the Company contracted a third-party administrator ("TPA") to access healthcare carriers, process claims, and facilitate the provision of specific and aggregate stop-loss coverage to limit our total exposure under the program. Accordingly, we record the TPA's administrative fees, insurance carrier fees, and stop-loss coverage premiums, as well as expected claims costs, on a straight-line basis over the annual coverage period. The Company's total cost of claims represents 80% of the Company's maximum liability for claims based on coverage provided under our specific and aggregate stop-loss policies. As claims are reported and paid, the liability is relieved. As of September 30, 2020, the estimated claims, fees and premiums accrued were higher than the premiums and fees paid to the TPA by \$60. This amount was recorded as a current liability in the accrued operating expenses section on our Consolidated Balance Sheet.

Legal Matters

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on its business, financial condition or operations. OTC Markets Group is not a party to any past or pending trading suspensions by a securities regulator.

Note 12. Stockholders' Equity

Common Stock

The Company has one class of shares, Class A common stock, outstanding. Holders of Class A common stock, which include holders of unvested RSAs, are entitled to receive such dividends and other distributions in cash, stock of any corporation or property of the Company as may be authorized and declared by the Board of Directors from time to time out of the assets or funds of the Company legally available for the payment of dividends. Upon the voluntary or involuntary liquidation, dissolution or winding up of the Company, holders of Class A common stock are entitled to a pro rata share of the net

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

assets of the Company available for distribution in proportion to the number of shares of Class A common stock held by each.

The Company is authorized to issue 14,000,000 shares of common stock at \$0.01 par value. As of September 30, 2020 there were a total of 12,305,638 shares issued and 11,669,004 shares outstanding. As of December 31, 2019 there were a total of 12,189,022 shares issued and 11,655,326 shares outstanding.

Treasury Stock

In August 2011, the Board of Directors authorized the Company to repurchase up to 300,000 shares of Class A common stock in compliance with Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act"). On March 4, 2020, the Board of Directors refreshed the Company's stock repurchase program, authorizing the repurchase of up to 300,000 shares of Class A common stock.

During the nine months ended September 30, 2020, the Company repurchased 102,938 shares of Class A common stock at an average price of \$34.20 per share for a total of \$3,520. During the same prior year period, the Company repurchased 46,711 shares of Class A common stock at an average price of \$29.75 per share for a total of \$1,390. All repurchased shares are held in treasury. As of September 30, 2020, there are 300,000 shares remaining to be purchased under the stock repurchase program.

Dividends

The Company declared a cash dividend of \$0.15 per Class A share during each of the three months ended September 30, 2020 and 2019, respectively, totaling \$1,750 and \$1,748, respectively. The Company declared cash dividends of \$0.45 per Class A share during each of the nine months ended September 30, 2020 and 2019, respectively, totaling \$5,247 and \$5,236, respectively.

Equity Incentive Plan

The Company's Equity Incentive Plan (the "Plan"), as approved by the Board of Directors on May 7, 2019, and approved by a vote of the Company's shareholders on December 19, 2019, provides for the grant of incentive stock options, non-statutory stock options, restricted stock, restricted stock units, stock appreciation rights, performance units and performance shares and bonus shares, and governs options awarded (refer to Note 10, *Stock-Based Compensation*). In each of November 2019 and 2018, the Board of Directors authorized the increase in the number of shares available for issuance under the Plan by 200,000 shares.

Note 13. Income Taxes

The Company's effective tax rate was 18.1% and 15.4% for the three months ended September 30, 2020 and 2019, respectively, and 14.9% and 16.0% for the nine months ended September 30, 2020 and 2019, respectively. The rates reflect the inclusion of state and local income taxes at the federal statutory rate of 21%. The effective tax rate differs from the federal statutory rate primarily due to the recognition of the U.S. federal research and development credit, the impact of the Foreign-Derived Intangible Income deduction, and the impact of excess tax benefits from share-based compensation. Our effective tax rate is based on forecasted annual results which may fluctuate significantly through the rest of the year as the result of the economic impact of the COVID-19 pandemic. During the first nine months of 2020 and 2019, we recognized an income tax benefit related to excess tax benefits on share-based compensation of \$391 and \$682, respectively.

On March 27, 2020, the Coronavirus Aid, Relief, and Economic Security Act ("CARES Act") was enacted. The CARES Act included modifications for net operating loss carryovers and carrybacks, provisions allowing for the immediate refund of alternative minimum tax credits, and a technical correction to the treatment of qualified improvement property under the Tax Cuts and Jobs Act. In March 2020, the

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Company completed its initial evaluation of the CARES Act and concluded that the provisions will not have an impact on our effective tax rate. Pursuant to the technical correction referenced above, the Company claimed bonus depreciation on its 2019 federal return related to qualified improvement property brought into service in 2019. The ultimate impact of the CARES Act may differ from the existing estimate due to the evolving analysis and as interpretations of the law are developed, including guidance issued by the Internal Revenue Service and other regulatory bodies.

As required by the uncertain tax position guidance in FASB Accounting Standards Codification Topic 740, the Company recognizes the financial statement benefit of a tax position only after determining that the relevant tax authority would more likely than not sustain the position following an audit. For tax positions meeting the more-likely-than-not threshold, the amount recognized in the financial statements is the largest benefit that has a greater than 50 percent likelihood of being realized upon settlement with the relevant tax authority. During the nine months ended September 30, 2020, the Company was accepted into voluntary disclosure agreements ("VDA") with state tax jurisdictions for which the Company had previously recorded a liability for an uncertain tax position. By participating in the VDA programs, the Company limited the look back period, which allowed the Company to reduce its recorded liabilities relating to uncertain tax positions by approximately \$623, or \$501 net of federal benefit. Pursuant to the VDA agreements, the Company has or will file tax returns for the VDA period, resulting in a reclass of approximately \$508, or \$399 net of federal benefit from uncertain tax liabilities to income tax payable. The gross amount of unrecognized tax benefits as of September 30, 2020 and December 31, 2019 was \$576 and \$1,382, respectively, and was classified in income tax reserve in the unaudited interim condensed Consolidated Balance Sheets. It is not reasonably possible that any unrecognized tax benefits related to state nexus will reverse within the next twelve months from settlements with taxing authorities.

The Company recognizes interest and penalties related to unrecognized tax benefits as a component of tax expense. For the three and nine months ended September 30, 2019, the Company recognized interest and penalties \$23 and \$77, respectively. For the three and nine months ended September 30, 2020, the Company recorded a reduction of interest and penalties of \$4 and \$201, respectively. Interest and penalties accrued as of September 30, 2020 and December 31, 2019 were \$181 and \$382, respectively.

Note 14. Earnings Per Share

The Company calculates earnings per share pursuant to the two-class method, which is an earnings allocation formula that determines earnings per share for common stock and participating securities according to dividends declared and participation rights in undistributed earnings. Under this method, all earnings (distributed and undistributed) are allocated to common shares and participating securities based on their respective rights to receive dividends. RSAs granted to employees (refer to Note 10, *Stock-Based Compensation*) participate in dividends on the same basis as common shares and such dividends are nonforfeitable by the holder. As a result, these RSAs meet the definition of a participating security.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

The tables below present the calculations of earnings per share under the two-class method:

Basic Earnings per common share

(in thousands, except shares and per share data)	Three Months Ended September 30,		Nine Months Ended September 30,	
	2020	2019	2020	2019
Net income available to common shareholders	\$ 4,459	\$ 4,020	\$ 12,550	\$ 11,134
Less: Undistributed earnings allocated to unvested RSAs	(65)	(55)	(175)	(142)
Less: Dividend equivalents on unvested RSAs	(42)	(42)	(126)	(126)
Net income allocated to common shareholders	<u>\$ 4,352</u>	<u>\$ 3,923</u>	<u>\$ 12,249</u>	<u>\$ 10,866</u>
Shares of common stock and common stock equivalents				
Weighted-average common shares outstanding	<u>11,390,479</u>	<u>11,353,189</u>	<u>11,397,415</u>	<u>11,351,773</u>
Basic earnings per share	\$ 0.38	\$ 0.35	\$ 1.07	\$ 0.96

Diluted Earnings per common share

(in thousands, except shares and per share data)	Three Months Ended September 30,		Nine Months Ended September 30,	
	2020	2019	2020	2019
Net income available to common shareholders	\$ 4,459	\$ 4,020	\$ 12,550	\$ 11,134
Less: Undistributed earnings allocated to unvested RSAs	(64)	(53)	(172)	(138)
Less: Dividend equivalents on unvested RSAs	(42)	(42)	(126)	(126)
Net income allocated to common shareholders	<u>\$ 4,353</u>	<u>\$ 3,925</u>	<u>\$ 12,252</u>	<u>\$ 10,870</u>
Shares of common stock and common stock equivalents				
Weighted-average common shares outstanding	11,390,479	11,353,189	11,397,415	11,351,773
Dilutive effect of employee stock options and RSAs	<u>229,673</u>	<u>337,917</u>	<u>226,523</u>	<u>337,724</u>
Weighted-average shares used in diluted computation	<u>11,620,153</u>	<u>11,691,106</u>	<u>11,623,938</u>	<u>11,689,497</u>
Diluted earnings per share	\$ 0.37	\$ 0.33	\$ 1.05	\$ 0.93

Note 15. Regulatory Authorities

OTC Link LLC is a U.S. registered broker-dealer and is subject to the net capital requirements of Rule 15c3-1 under the Exchange Act. Rule 15c3-1 requires the maintenance of net capital, as defined, which shall be the greater of \$5 or 6-2/3% of aggregate indebtedness, as defined. OTC Link LLC's regulatory net capital as of September 30, 2020 and December 31, 2019 was \$3,159 and \$3,095, respectively, which exceeded the minimum net capital requirement by \$3,011 and \$2,944, respectively.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Note 16. Subsequent Events

For purposes of disclosure in the unaudited condensed consolidated financial statements, the Company has evaluated subsequent events through November 11, 2020, the date the financial statements were available to be issued.

On November 9, 2020, the Board of Directors authorized and approved a special cash dividend of \$0.65 per share of Class A Common Stock and a quarterly cash dividend of \$0.15 per share of Class A common stock. The special dividend is payable on December 9, 2020 to stockholders of record on November 25, 2020. The ex-dividend date is November 24, 2020. The quarterly dividend is payable on December 23, 2020 to our stockholders of record as of December 9, 2020. The ex-dividend date is December 8, 2020.

EXHIBIT 9.1

CERTIFICATION OF PRINCIPAL EXECUTIVE OFFICER

I, R. Cromwell Coulson, Chief Executive Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ R. Cromwell Coulson

R. Cromwell Coulson
Chief Executive Officer

November 11, 2020

Date

EXHIBIT 9.2

CERTIFICATION OF PRINCIPAL FINANCIAL OFFICER

I, Beatrice Ordonez, Chief Financial Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ Beatrice Ordonez
Beatrice Ordonez
Chief Financial Officer

November 11, 2020
Date